

Iron ore

Prices recalibrate higher as marginal costs increase; raising short-term prices and long-term price

Key takeaways from our iron ore market review: **1) China steel production** was down 4.1% YTD in April – this is a relatively soft start to the year, but the April annualised rate is near 1bn tonnes, which is better than any month through 2H25 – steel exports were soft in Jan/Feb but recovered to 101/110Mtpa in March/April. **2) China's YTD iron ore imports** are up almost 30Mt – most of this has gone to port stocks, which are now showing signs of a drawdown after hitting record levels (likely BHP drawdown post CMRG negotiation outcome), and **3) Iron ore prices have risen** since the beginning of the Middle East conflict despite better seaborne iron ore supply, and uninspiring China steel output. We attribute the price move to higher costs. Marginal miners have seen +7/t spot FOB cost inflation as a result of diesel/explosives price moves. Meanwhile, freight has also risen \$5/t from WA, and \$13/t from Brazil. We have updated our near-term prices by ~\$5/t (\$105/t / \$99/t in 2026/27) to account for the higher cost curve. We have also raised our long-term real price from \$80/t to \$90/t (last updated in 2Q23) to reflect general inflation across inputs, reduced quality specifications (higher cost per Fe unit) and higher China steel run rate than previously forecast going into Simandou's ramp-up (more marginal production remains in the market).

- **China steel output down, exports bounce back, while iron ore imports rise YTD.** China iron ore imports have been strong, up almost 30Mt YTD through April (+8%), with all major regions trending higher. Most of the increase in imports has gone to port stocks which reached 165Mt (record levels), but have since fallen ~5Mt. Non-traditional suppliers are the main driver of the port stock build. China's steel production was down 4.1% YTD through April, but the run rate is healthy, annualising ~1Btpa on NBS data, and above any month from Apr-Dec 2025. Interestingly, China steel exports printed 110Mtpa in April, recovering from Jan/Feb lows of ~90Mtpa. World ex China steel production is largely flat YTD, with global output down 2.2% through April.
- **Iron ore mining costs are up – the cost curve has risen, but also steepened.** The 2026 CFR cost curve has moved higher following the Middle East conflict, with associated increases in diesel, explosives, freight rates and other inputs. It's also worth noting that since FY26 cost guidance was set, there have been unfavourable movements in the AUD & BRL (translates local costs into higher USD costs). We estimate FOB costs are up \$1.1-7.4/t for the Australian miners, with CFR costs up \$6-12/t. Interestingly, with iron ore up ~\$6/t since the beginning of the ME conflict, Tier 1 producers in Australia have minimal impact from a margin perspective.
- **CFR vs FOB prices post ME conflict – significant Brazil vs Australia variance:** CFR quoted iron ore prices at ~\$106/t include bulk freight rates that are up ~50% since the start of the conflict ([link](#)); Australia to China is currently \$15/t (+\$5/t), Brazil to China is \$37/t (+\$14/t). Consequently, FOB realised prices for Australian iron ore are +1% since ME conflict, but Brazil FOB prices are -10%. Higher freight has impacted Australian iron ore miners (BHP/RIO/FMG) much less than those in Brazil (Vale and Anglo American) and Africa iron ore miners (Kumba) where shipping distances to China are longer.

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- **Raising our LT real price to \$90/t.** Many miners have recently reduced product quality, leading to higher cost/Fe unit (albeit in some cases this is associated with lower strip ratios). In addition, general inflation pressures (raw materials/labour/capex) have been very evident in mining. These factors have driven marginal iron ore costs higher, which, in our view, justifies raising long-term real prices from \$80/t to \$90/t, +12.5% (we last updated 2Q23). Finally, given the persistent run rates in China steel output around 1Bntpa, Simandou is likely to be less damaging to pricing dynamics than we previously expected (more marginal tonnes remain in the market). Our LT price upgrade is largely unrelated to the current cost pressures associated with the Middle East conflict.
- **Iron ore price recalibrates higher with marginal costs:** Iron ore has risen around \$6/t since the beginning of the ME conflict with spot now at \$106/t. In our view, this is more a reflection of higher marginal costs, than a demand driven bounce. We raise our 2026 / 2027 estimates \$5/t to \$105/99/t. Key risks continue to include the pace of Simandou's ramp-up, along with any potential global growth / steel demand impacts from the Middle East conflict.

Lifting prices to \$105/t in 2026; \$99/t in 2027

Our 2026/27 price forecasts have risen, largely to reflect higher freight rates along with increased marginal costs related to diesel and other input price increases.

Table 1: Changes to price forecasts

61% fines references Platts' index

Iron ore	2024	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E	2029E	LT real
Iron ore 61% Fe fines (US\$/dmt)	109	102	105	109	105	100	105	99	94	91	90
Change (%)	0%	0%	0%	9%	11%	5%	6%	5%	0%	-1%	13%
FMG avg. price, ~58% Fe (US\$/dmt)	95	89	94	93	89	85	90	84	79	78	77
Change (%)	0%	0%	0%	9%	11%	5%	6%	5%	0%	-1%	13%
Iron ore 61% Fe lump (US\$/dmt)	118	111	110	117	113	109	112	109	105	105	105
Change (%)	0%	0%	0%	8%	10%	5%	6%	4%	0%	-1%	11%
58% Fe fines discount vs 62% Fe (%)	-13%	-12%	-10%	-15%	-15%	-15%	-14%	-15%	-15%	-15%	-15%
58% Fe fines discount (US\$/dmt)	-14	-13	-11	-16	-16	-15	-14	-15	-14	-14	-14
Lump premium - 61% Fe (US\$/dmt)	8	9	5	8	8	9	8	10	12	14	15
Freight WA to China (US\$/wt)	10.4	9.1	9.7	14.5	15.0	13.0	13.0	11.0	11.1	11.1	10.0
Change (%)	0%	0%	0%	21%	50%	29%	25%	8%	5%	3%	0%
Freight Brazil to China (US\$/wt)	25	22	25	37	37	33	33	28	27	25	20
Change (%)	0%	0%	0%	23%	23%	32%	20%	15%	11%	7%	0%

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Long-term price raised to \$90/t

There has been significant pressure on marginal iron ore costs in recent years. This likely explains iron ore's resilience over \$100/t, with any dip below \$90/t met with supply curtailments (eg India has been very elastic). We now see the need for a higher long-term real price of \$90/t vs our previous \$80/t, +12.5% (we last updated in 2023). Our LT price upgrade is largely unrelated to the current cost pressures associated with the Middle East conflict. Key drivers are as follows:

- **Reduced product quality:** Recently, many iron ore miners have reduced product quality, which is essentially producing the same tonnage but with a lower Fe content. This has essentially increased the cost per Fe unit (some miners will benefit from lower strip ratios associated with this move, while for other miners it's just a function of ore body sequencing).
- **Opex & capex inflation:** Inflation pressures (raw materials/labour) have been very evident across global mining opex. Recent capex blowouts (e.g., Jansen/Hermosa etc.) also show capital intensity for mining has risen.
- **Less impact from Simandou:** Persistent run rates in China steel output around 1Bn tpa suggest more marginal tonnes will remain in the market post Simandou than our 2023 expectations when we set our LT price.
- **Ore body depletion remains a challenge:** A lack of iron ore project investment outside major hubs could also present as upside risk to prices medium term. Bearish iron ore price sentiment due to peak steel in China and Simandou fears have deterred project investment. This hit non-traditional iron ore supply over the next 5-10yrs as reserves are depleted.
- **Indian iron ore exports likely to drop longer term:** As India's domestic steel industry grows, we believe net exports from the nation will drop.

China steel forecast

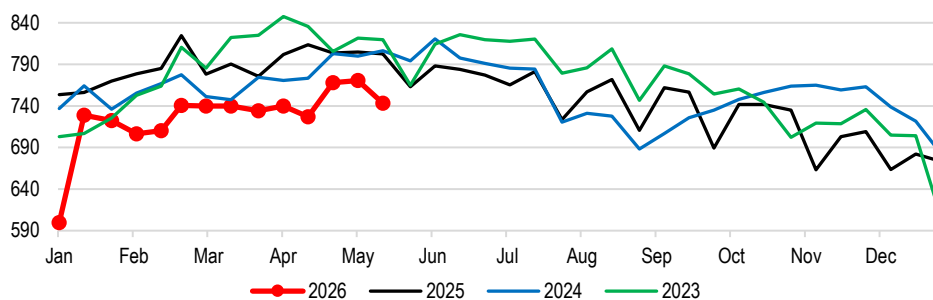
China's total crude steel output is down 4% April YTD according to NBS. The headline percentage change is uninspiring. But it is interesting to note the April run rate of 1017Mtpa is above any month from April-Dec 2025. On a YoY basis though, it presents down 3% YoY due to the difficult comp in April 2025 (1047Mt third highest in that year). We retain our 2026 forecast for 1Bt, which includes ~60Mt of unreported output. There is upside risk to our forecast given 1Q26 production is already annualising around 1Bt using NBS data. We expect China domestic steel demand to contract 1.5% in 2026 (unchanged from our prior update).

Table 2: China demand

China steel summary	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Crude Steel Production - reported (Mt)	1,022	1,005	961	942	932	923	914	905
Change (% yoy)	0.4%	-1.7%	-4.4%	-2.0%	-1.0%	-1.0%	-1.0%	-1.0%
Unreported steel output (Mt) - JPM	15	20	60	59	58	58	57	56
As a percentage of reported	1.5%	2.0%	6.2%	6.2%	6.2%	6.2%	6.2%	6.2%
Total Crude Steel Production (Mt)	1,037	1,025	1,021	1,000	990	981	971	961
Change (% yoy)	1.9%	-1.2%	-0.4%	-2.0%	-1.0%	-1.0%	-1.0%	-1.0%
Crude Steel Demand (Mt)	951	916	902	888	881	873	864	855
Change (% yoy)	-0.8%	-3.7%	-1.5%	-1.6%	-0.7%	-1.0%	-1.0%	-1.0%
Net exports - finished steel (Mt)	83	104	113	107	104	102	101	100
Change (% yoy)	45.6%	25.9%	8.7%	-5.1%	-3.5%	-1.1%	-1.1%	-1.1%
Scrap steel consumed (Mt)	182	181	166	159	174	184	196	193
Change (% yoy)	-1.0%	-0.8%	-8.0%	-4.3%	9.4%	5.5%	6.9%	-1.7%
Scrap ratio (%)	18%	18%	16%	16%	18%	19%	20%	20%
China iron ore demand requirement	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
China iron ore requirement (Mt wet)	1,478	1,459	1,475	1,452	1,411	1,378	1,341	1,330
China iron ore requirement (Change Mt yoy)	36	-19	16	-23	-42	-32	-37	-11

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 1: China steel production - Large and Medium enterprises



Source: CISA

Global snapshot

China's iron ore imports rose 30Mt YTD through April – most of this went to port inventory which rose 29Mt over the same period. China steel demand was down ~3.5% YTD in April. The combination of good ore availability and weaker YoY demand isn't translating to lower iron ore prices. This reinforces our thesis that some steel output isn't captured in official statistics (see our [deep dive on 2025 steel output vs raw material consumption](#)). It also shows the impact of higher marginal mining costs (cost push).

Table 3: Iron ore and steel snapshot

Iron ore and Steel	Apr-25	Mar-26	Apr-26	Change	Apr-25	Apr-26	Change	Change
China	Month	Month	Month	YoY	YTD	YTD	Mt	YoY
Iron ore imports (Mt)	103	105	104	0.7%	388	419	30	7.8%
from Australia	62	66	61	-1.7%	233	247	14	6.0%
from Brazil	20	17	21	3.9%	80	85	6	7.3%
from India	3	2	2	-29.5%	10	10	0	0.7%
from Others	18	19	19	10.4%	65	76	10	15.7%
Iron ore exports (Mt)	2	2	0		8	4	-4	
Iron ore - gross production (Mt)	85	80	83	-2.2%	329	327	-2	-0.6%
Iron ore - port stocks (Mt)	134	165	163	21.9%			29	
Crude steel production (Mt)	86	87	84	-2.8%	345	331	-14	-4.1%
Pig iron production (Mt)	73	62	61	-16.3%	289	282	-7	-2.3%
Crude Steel ratio (x)	1.19	1.40	1.38		1.20	1.17		
Finished steel net exports (Mt)	10	9	9	-9.2%	36	32	-3	-9.5%
Steel demand (Mt)	76	78	74	-1.9%	308	297	-11	-3.5%
RoW								
Steel								
India - steel production (Mt)	13	15	14	3.9%	54	58	4	8.2%
Europe - steel production (Mt)	15	15	15	-0.4%	58	57	-1	-1.4%
Americas - steel production (Mt)	12	13	13	6.2%	49	50	1	1.5%
Others - steel production (Mt)	30	29	29	-5.8%	120	116	-4	-3.1%
Global ex China- steel production (Mt)	70	73	70	-0.8%	281	281	1	0.2%
Global - steel production (Mt)	156	160	153	-1.9%	626	612	-14	-2.2%

Source: Bloomberg Finance L.P., company data.

RoW steel production forecasts

We forecast flat steel output in 2026, with growth from RoW offset by lower China output. YTD April output on an annualised basis is showing weakness against our forecasts across Europe, along with CIS/ME & Africa which presents as downside risks.

Table 4: 2026 Steel production by region

	2025	2026e	YTD	YoY Change	YTD % v JPM
China	1021	1000	993	-7	-0.7%
India	164	178	174	-4	-2.4%
Japan	81	80	80	0	0.2%
South Korea	62	63	63	0	0.7%
Europe	169	174	171	-3	-2.0%
CIS, ME & Africa	161	160	147	-12	-7.7%
Americas	149	151	150	-1	-0.5%
Total	1892	1894	1837	-57	-3.0%

Source: J.P. Morgan estimates, Bloomberg Finance L.P., WSA.

Table 5: Global steel production forecasts

Production Summary	2025	2026F	2027F	2028F	2029F	2030F
China	1021	1000	990	981	971	961
YoY%	-0.4%	-2.0%	-1.0%	-1.0%	-1.0%	-1.0%
India	164	178	189	200	210	220
YoY%	9.4%	9.0%	6.0%	5.5%	5.0%	5.0%
Japan	81	80	79	79	78	77
YoY%	-4.0%	-0.8%	-0.8%	-0.8%	-0.8%	-0.8%
South Korea	62	63	64	65	66	67
YoY%	-2.8%	1.5%	1.5%	1.5%	1.5%	1.5%
Other Asia-Pacific	86	88	89	92	95	98
YoY%	2.7%	2.0%	2.0%	3.0%	3.0%	3.0%
Americas	149	151	154	157	160	163
YoY%	0.2%	1.5%	2.0%	2.0%	2.0%	2.0%
CIS, Middle East & Africa	161	160	163	166	170	173
YoY%	-0.4%	-1.0%	2.0%	2.0%	2.0%	2.0%
Europe	169	173	178	180	183	184
YoY%	-2.1%	2.5%	2.5%	1.5%	1.5%	0.5%
Total	1892	1893	1907	1919	1932	1943
YoY%	0.2%	0.1%	0.7%	0.7%	0.6%	0.6%

Source: J.P. Morgan estimates. WSA

Iron ore price is up – but so are costs

The 2026 cost curve has moved higher following the Middle East conflict, and associated disruptions to critical input pricing such as diesel, explosives and freight rates. However, it is interesting to note that based on the move in iron ore prices, margins for first quartile cost Australian producers have potentially risen.

Table 6: Key movements in prices

Inputs move	Spot	27-Feb-26 ME conflict	Change since ME	Change (%)	Jul-25 FY26 guide conds.	Change since guide	Change (%)
Oil - Brent (\$/bbl)	105	72	33	47%	67	38	57%
AUD/USD	0.71	0.71	0.00	0%	0.66	0.06	9%
Ammonium Nitrate Baltic Sea (\$/t)	500	330	170	52%	308	193	63%
Freight - WA to China (\$/t)	15.0	10.3	4.8	46%	8.3	6.7	81%
BRL/USD	5.0	5.1	-0.1	-2%	5.6	-0.6	-10%
Freight - Brazil to China (\$/t)	37	23	13	57%	21	16	80%
Iron ore price CFR China (\$/t)	106	100	6.1	6%	98	8	8%
Iron ore price FOB Australia (\$/t)	91	89.5	1.3	1%	90	1	1%
Iron ore price FOB Brazil (\$/t)	69	76.3	-7.3	-10%	78	-9	-11%

Source: Bloomberg Finance L.P.

Table 7: Cost scenarios based on movements since ME war, and movement since FY26 cost guidance was set

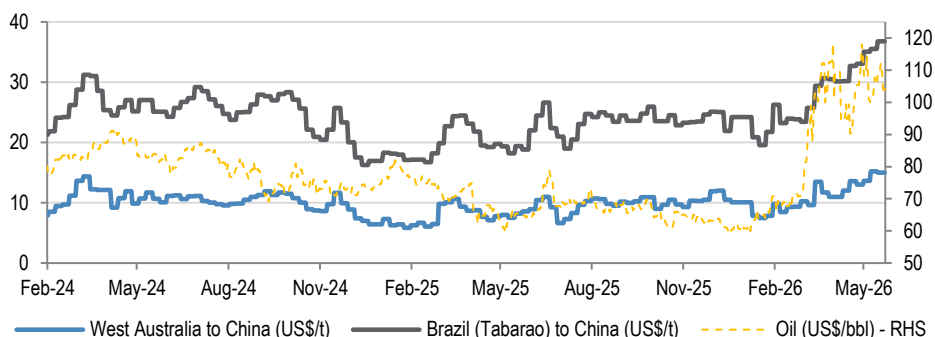
Unit cost impacts	BHP	RIO	FMG	MIN Onslow	MIN Pilbara
Change since the beginning of the ME war	USD	USD	USD	USD	USD
Sensitivity assumptions - \$/t impact					
Oil - every \$10/bbl (\$/t)	0.15	0.15	0.20		
AUD - every 1c	0.15	0.15	0.16		
Explosives - % of unit cost	2.5%	2.0%	5.0%	3.0%	3.0%
FY26 Guidance midpoint - FOB (\$/t)	19.0	19.3	18.0	39.6	54.3
Change since the beginning of the Middle East war					
Oil price impact (\$/t)	0.5	0.5	0.7	2.8	4.9
AUD impact (\$/t)	0.0	0.0	0.0	0.0	0.0
Explosives / ammonium nitrate impact (\$/t)	0.7	0.6	1.4	1.8	2.5
Subtotal FOB costs (US\$/t)	1.3	1.1	2.1	4.6	7.4
Freight - WA to China	4.8	4.8	4.8	4.8	4.8
Total cost impact CFR (US\$/t)	6.0	5.9	6.8	9.3	12.1
Iron ore price move - US\$/t	6.1	6.1	6.1	6.1	6.1
Margin impact - US\$/t	0.0	0.2	-0.8	-3.3	-6.1
Approx change since FY26 guidance was set					
Oil price impact (\$/t)	0.6	0.6	0.8		
AUD impact (\$/t)	0.8	0.8	0.9		
Explosives / ammonium nitrate impact (\$/t)	0.8	0.6	1.5		
Subtotal FOB costs (US\$/t)	2.2	2.0	3.1		
Freight - WA to China	6.7	6.7	6.7		
Total cost impact CFR (US\$/t)	8.9	8.7	9.8		

Source: J.P. Morgan estimates, Company data.

The freight & diesel story

Bulk carrier shipping rates have risen sharply since the start of the conflict in late February. Miners paying to ship from longer distances in Brazil and Africa have been hit harder than those in Australia.

Figure 2: Freight rates vs Oil price

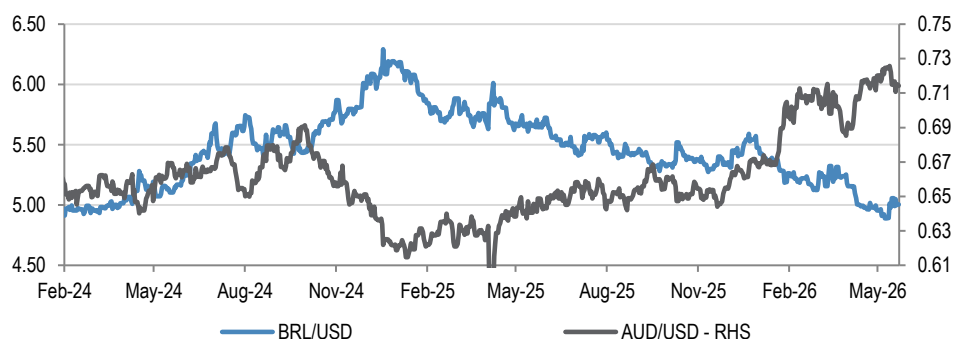


Source: Bloomberg Finance L.P.

The currency drag

AUD has risen materially since FY26 cost guidance was set, adding further pressure to WA producers in the Pilbara (RIO/BHP/FMG/MIN). FY26 guidance for these has been set at AUD of 65-67c, with FY27 cost guidance likely needing another 5c.

Figure 3: AUD and BRL currencies



Source: Bloomberg Finance L.P.

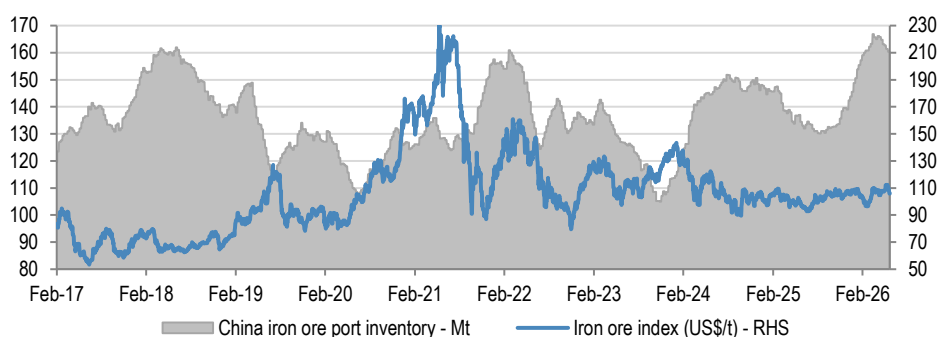
Explosives costs on the rise as well

Explosives comprise 2-5% of the mining costs for iron ore miners. Due to the conflict, ammonium nitrate prices have increased substantially, which will drive mining costs higher as well.

Iron ore inventories – close to record highs but starting to decrease

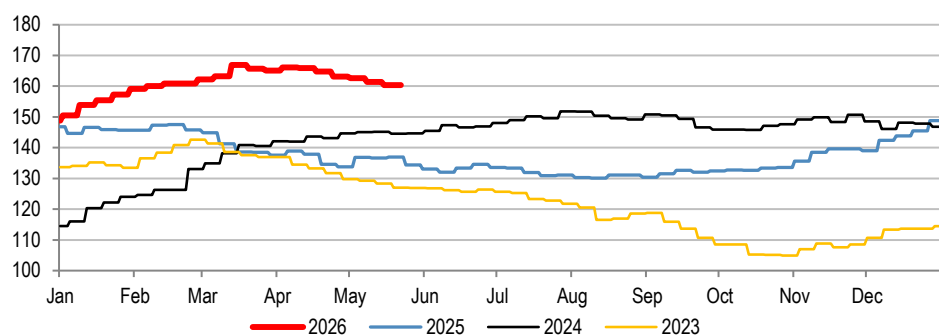
China iron ore port inventories are at ~160Mt, close to record levels and quite elevated even on a seasonal basis. There are early signs of inventory decline – probably post positive CMRG/BHP negotiation outcomes resulting in draw of BHP built inventories. We continue to point to a lack of correlation between the iron ore price and port inventories – despite the significant market attention on this data series.

Figure 4: China iron ore port inventories (Mt)



Source: Bloomberg Finance L.P.

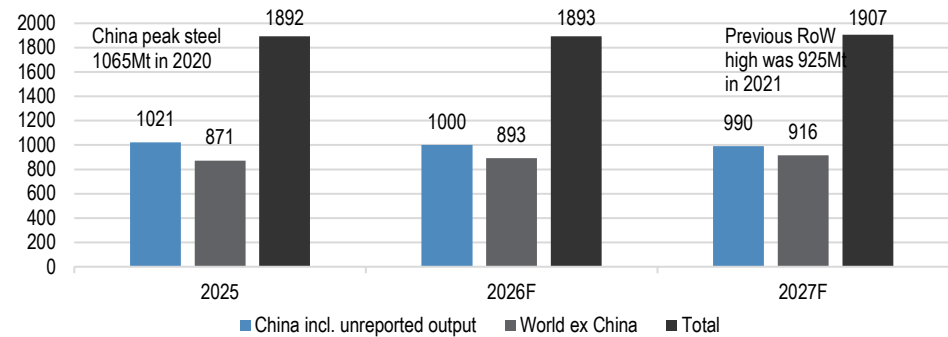
Figure 5: China iron ore port inventories seasonality (Mt)



Source: Bloomberg Finance L.P.

Supply/demand model summary

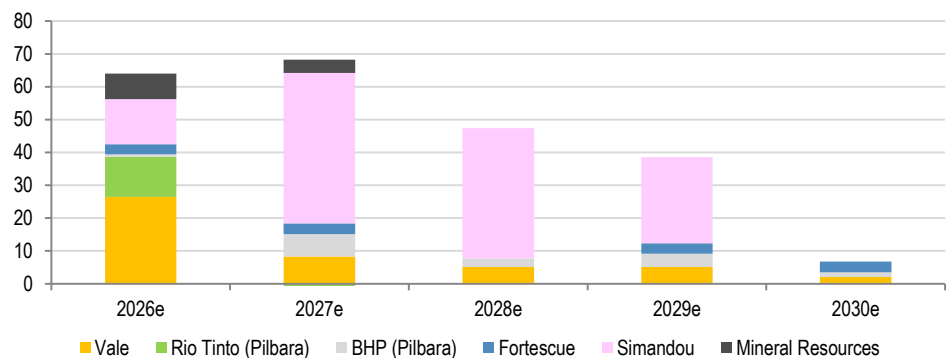
Figure 6: Global steel production forecasts (Mt), China includes JPMe of unreported output



Source: World Steel Association, J.P. Morgan estimates.

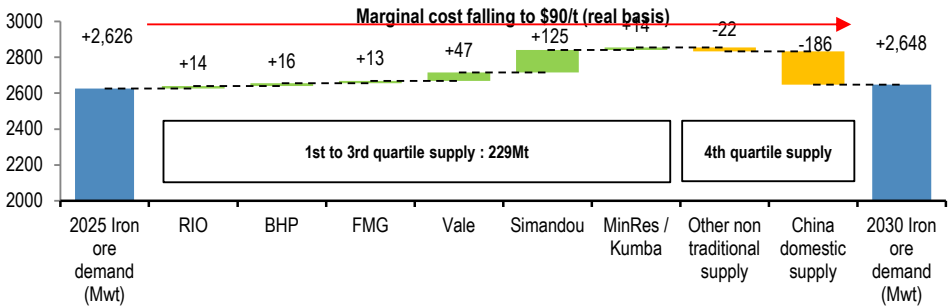
2026, 2027 and 2028 is expected to see almost 170Mt of supply hitting the market as Simandou ramps up.

Figure 7: Iron ore supply additions from the majors (61% Fe equivalent) (Mt) – JPMe



Source: Company reports, J.P. Morgan estimates.

Figure 8: Cost curve flattens through 2030 (61% Fe equivalent)



Source: J.P. Morgan estimates, company data.

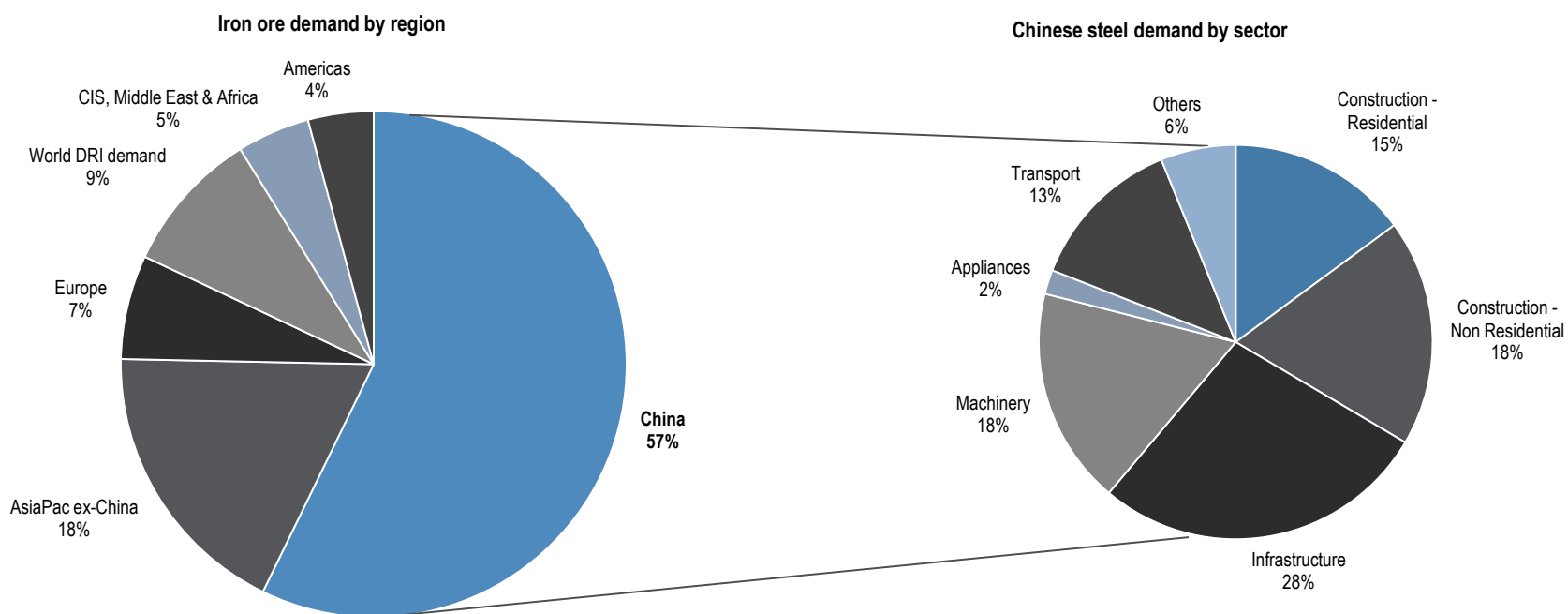
Table 8: JPM iron ore supply/demand model

Demand 61% Fe (wMt 8% moisture)	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
Americas	106	102	99	102	102	104	105	106	108
CIS, Middle East & Africa	117	129	122	121	120	123	125	128	130
Europe	168	156	158	155	159	162	164	166	166
World direct reduction iron demand	231	238	245	252	260	268	276	284	293
AsiaPac ex-China	456	486	503	520	545	564	583	602	621
China	1,441	1,478	1,459	1,475	1,452	1,411	1,378	1,341	1,330
Growth	-13	36	-19	16	-23	-42	-32	-37	-11
Growth	-0.9%	2.5%	-1.3%	1.1%	-1.6%	-2.9%	-2.3%	-2.7%	-0.8%
Total ex-China	1,078	1,112	1,127	1,150	1,187	1,220	1,253	1,285	1,318
Growth	-63	34	16	23	36	33	33	33	32
Growth	-5.5%	3.1%	1.4%	2.1%	3.1%	2.8%	2.7%	2.6%	2.5%
Total (wmt, 61% Fe, 8% moisture)	2,519	2,589	2,586	2,626	2,639	2,630	2,631	2,626	2,648
Growth (Mwmt)	-76	70	-3	40	13	-9	1	-5	21
Growth (%)	-2.9%	2.8%	-0.1%	1.5%	0.5%	-0.3%	0.0%	-0.2%	0.8%
Supply 61% Fe (wMt 8% moisture)	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
Australia	936	945	945	955	978	977	980	987	997
South America	468	489	505	513	529	542	552	562	568
North America	137	146	149	151	151	137	127	122	115
CIS	174	177	210	201	201	191	191	191	191
Middle East & Africa	150	165	159	164	162	199	234	256	256
China / port destock	325	306	302	304	271	220	172	117	119
Other Asia	282	313	277	299	307	324	336	351	363
Europe	47	47	40	40	40	40	40	40	40
Total (wmt, 61% Fe, 8% moisture)	2,519	2,589	2,586	2,626	2,639	2,630	2,631	2,626	2,648
Growth (Mwmt)	-76	70	-3	40	13	-9	1	-5	21
Growth (%)	-2.9%	2.8%	-0.1%	1.5%	0.5%	-0.3%	0.0%	-0.2%	0.8%
Supply 61% Fe (wMt 8% moisture)	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
Vale	321	316	322	325	351	359	365	370	372
Rio Tinto (Pilbara)	321	331	328	325	337	334	334	334	339
BHP (Pilbara)	287	284	294	293	294	301	304	308	309
Fortescue	181	179	184	189	192	196	196	199	202
Roy Hill	59	59	59	59	59	59	59	59	59
Minas Rio	24	27	28	25	25	25	25	25	25
Kumba	42	40	40	40	40	42	42	42	42
Simandou	0	0	0	5	19	64	104	130	130
Mineral Resources	17	17	21	35	43	47	47	47	47
IOC	26	26	26	26	26	26	26	26	26
Major miners	1,278	1,279	1,300	1,323	1,387	1,454	1,501	1,540	1,552
Curtailments / growth	-4	1	22	22	64	67	47	39	12
China domestic	325	306	302	304	271	220	172	117	119
Curtailments / growth	-18	-19	-4	2	-33	-51	-49	-54	1
Other non-traditional supply	916	1,004	984	999	981	956	958	969	977
Curtailments / growth	-54	88	-21	15	-18	-25	2	11	8
Total (wmt, 61% Fe, 8% moisture)	2,519	2,589	2,586	2,626	2,639	2,630	2,631	2,626	2,648
Balance 61% Fe (wMt 8% moisture)	2022	2023	2024	2025	2026F	2027F	2028F	2029F	2030F
Supply change ex Majors (Mt)	-73	70	-25	17	-51	-75	-47	-43	9
Proportion of global market (%)	-2.9%	2.7%	-1.0%	0.7%	-1.9%	-2.9%	-1.8%	-1.6%	0.3%

Source: Company data, J.P. Morgan estimates.

Demand: Global iron ore demand

Figure 9: Global iron ore demand and Chinese steel demand by end use – 2025



Source: Woodmac.

Demand: Global PMI heat map

Table 9: Global PMI heat map

		May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26
Groups	JP Morgan Global	51.0	50.8	49.7	49.6	48.7	49.4	50.1	49.6	50.1	50.6	50.3	49.8	49.5	50.4	49.7	50.9	50.7	50.8	50.5	50.4	50.9	51.8	51.3	52.6
	Developed Markets	50.0	49.7	48.8	48.3	47.5	48.1	48.4	48.2	49.3	50.0	49.1	49.1	50.0	50.5	49.2	50.9	50.3	50.6	50.5	50.5	51.4	51.8	52.0	53.8
	Emerging Markets	51.9	52.1	50.7	50.8	49.8	50.6	51.6	51.0	50.8	51.1	51.3	50.5	49.2	50.4	50.1	50.9	51.2	51.1	50.5	50.4	50.6	52.0	50.7	51.6
	European Union	47.3	45.8	45.9	46.0	45.3	46.3	45.5	45.3	46.7	47.8	48.6	49.1	49.2	49.2	49.6	50.4	49.7	49.8	49.5	48.8	49.5	50.5	51.3	52.0
	Eurozone	47.3	45.8	45.8	45.8	45.0	46.0	45.2	45.1	46.6	47.6	48.6	49.0	49.4	49.5	49.8	50.7	49.8	50.0	49.6	48.8	49.5	50.8	51.6	52.2
Asia Pacific	China (Caixin/Markit)	51.7	51.8	49.8	50.4	49.3	50.3	51.5	50.5	50.1	50.8	51.2	50.4	48.3	50.4	49.5	50.5	51.2	50.6	49.9	50.1	50.3	52.1	50.8	52.2
	China (Official PMI)	49.5	49.5	49.4	49.1	49.8	50.1	50.3	50.1	49.1	50.2	50.5	49.0	49.5	49.7	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3
	Hong Kong	49.2	48.2	49.5	49.4	50.0	52.2	51.2	51.1	51.0	49.0	48.3	48.3	49.0	47.8	49.2	50.7	50.4	51.2	52.9	51.9	52.3	53.3	49.3	48.6
	India	57.5	58.3	58.1	57.5	56.5	57.5	56.5	56.4	57.7	56.3	58.1	58.2	57.6	58.4	59.1	59.3	57.7	59.2	56.6	55.0	55.4	56.9	53.9	54.7
	Indonesia	52.1	50.7	49.3	48.9	49.2	49.2	49.6	51.2	51.9	53.6	52.4	46.7	47.4	46.9	49.2	51.5	50.4	51.2	53.3	51.2	52.6	53.8	50.1	49.1
	Japan	50.4	50.0	49.1	49.8	49.7	49.2	49.0	49.6	48.7	49.0	48.4	48.7	49.4	50.1	48.9	49.7	48.5	48.2	48.7	50.0	51.5	53.0	51.6	55.1
	Malaysia	50.2	49.9	49.7	49.7	49.5	49.5	49.2	48.6	48.7	49.7	48.8	48.6	48.8	49.3	49.7	49.9	49.8	49.5	50.1	50.1	50.2	49.3	50.7	51.6
	Singapore	50.6	50.4	50.7	50.9	51.0	50.8	51.0	50.9	50.7	50.6	49.6	49.7	50.0	49.9	50.0	50.0	50.1	50.0	50.2	50.3	50.5	50.6	50.5	50.7
	South Korea	51.6	52.0	51.4	51.9	48.3	48.3	50.6	49.0	50.3	49.9	49.1	47.5	47.7	48.7	48.0	48.3	50.7	49.4	49.4	50.1	51.2	51.1	52.6	53.6
	Taiwan	50.9	53.2	52.9	51.5	50.8	50.2	51.5	52.7	51.1	51.5	49.8	47.8	48.6	47.2	46.2	47.4	46.8	47.7	48.8	50.9	51.7	55.2	53.3	55.3
	Vietnam	50.3	54.7	54.7	52.4	47.3	51.2	50.8	49.8	48.9	49.2	50.5	45.6	49.8	48.9	52.4	50.4	50.4	54.5	53.8	53.0	52.5	54.3	51.2	50.5
	Australia	49.7	47.2	47.5	48.5	46.8	47.3	49.4	47.8	50.2	50.4	52.1	51.7	51.0	50.6	51.3	53.0	51.4	49.7	51.6	51.6	52.3	51.0	49.8	51.3
	New Zealand	46.7	41.3	44.7	46.1	47.6	46.3	46.2	46.0	51.4	53.5	52.5	53.2	46.4	49.3	53.0	50.2	50.2	51.5	51.9	56.0	55.0	54.8	52.8	50.5
Europe	Austria	46.3	43.6	43.1	44.4	42.8	42.0	44.5	43.3	45.7	46.7	46.9	46.6	48.4	47.0	48.2	49.1	47.6	48.8	50.4	49.3	47.2	49.4	52.4	51.2
	Czech Republic	46.1	45.3	43.8	46.7	46.0	47.2	46.0	44.8	46.6	47.7	48.3	48.9	48.0	50.2	49.7	49.4	49.2	47.2	48.0	50.4	49.8	50.0	52.8	52.9
	France	46.4	45.4	44.0	43.9	44.6	44.5	43.1	41.9	45.0	45.8	48.5	48.7	49.8	48.1	48.2	50.4	48.2	48.8	47.8	50.7	51.2	50.1	50.0	52.8
	Germany	45.4	43.5	43.2	42.4	40.6	43.0	43.0	42.5	45.0	46.5	48.3	48.4	48.3	49.0	49.1	49.8	49.5	49.6	48.2	47.0	49.1	50.9	52.2	51.4
	Greece	54.9	54.0	53.2	52.9	50.3	51.2	50.9	53.2	52.8	52.6	55.0	53.2	53.2	53.1	51.7	54.5	52.0	53.5	52.7	52.9	54.2	54.4	54.5	52.4
	Ireland	49.8	47.4	50.1	50.4	49.4	51.5	49.9	49.1	51.3	51.9	51.6	53.0	52.6	53.7	53.2	51.6	51.8	50.9	52.8	52.2	52.2	53.1	53.7	54.9
	Italy	45.6	45.7	47.4	49.4	48.3	46.9	44.5	46.2	46.3	47.4	46.6	49.3	49.2	48.4	49.8	50.4	49.0	49.9	50.6	47.9	48.1	50.6	51.3	52.1
	Netherlands	52.5	50.7	49.2	47.7	48.2	47.0	46.6	48.6	48.4	50.0	49.6	49.2	49.0	51.2	51.9	51.9	53.7	51.8	51.8	51.1	50.1	50.8	52.0	54.4
	Poland	45.0	45.0	47.3	47.8	48.6	49.2	48.9	48.2	48.8	50.6	50.7	50.2	47.1	44.8	45.9	46.6	48.0	48.8	49.1	48.5	48.8	47.1	48.7	48.8
	Spain	54.0	52.3	51.0	50.5	53.0	54.5	53.1	53.3	50.9	49.7	49.5	48.1	50.5	51.4	51.9	54.3	51.5	52.1	51.5	49.6	49.2	50.0	48.7	51.7
	United Kingdom	51.2	50.9	52.1	52.5	51.5	49.9	48.0	47.0	48.3	46.9	44.9	45.4	46.4	47.7	48.0	47.0	46.2	49.7	50.2	50.6	51.8	51.7	51.0	53.7
	Russia	54.4	54.9	53.6	52.1	49.5	50.6	51.3	50.8	53.1	50.2	48.2	49.3	50.2	47.5	47.0	48.7	48.2	48.0	48.3	48.1	49.4	49.5	48.3	48.1
	Switzerland	46.4	43.9	43.5	49.0	48.9	49.2	47.7	47.0	47.4	49.4	48.8	46.5	42.4	48.7	49.5	48.2	46.1	48.1	49.6	46.4	48.8	47.4	53.3	54.5
	Turkey	48.4	47.9	47.2	47.8	44.3	45.8	48.3	49.1	48.0	48.3	47.3	47.3	47.2	46.7	45.9	47.3	46.7	46.5	48.0	48.9	48.1	49.3	47.9	45.7
Americas	Brazil	52.1	52.5	54.0	50.4	53.2	52.9	52.3	50.4	50.7	53.0	51.8	50.3	49.4	48.3	48.2	47.7	46.5	48.2	48.8	47.6	47.0	47.3	49.0	52.6
	Canada	49.3	49.3	47.8	49.5	50.4	51.1	52.0	52.2	51.6	47.8	46.3	45.3	46.1	45.6	46.1	48.3	47.7	49.6	48.4	48.6	50.4	51.0	50.0	53.3
	Mexico	51.2	51.1	49.6	48.5	47.3	48.4	49.9	49.8	49.1	47.6	46.5	44.8	46.7	46.3	49.1	50.2	49.6	49.5	47.3	46.1	46.3	47.1	48.9	47.7
	United States	51.3	51.6	49.6	47.9	47.3	48.5	49.7	49.4	51.2	52.7	50.2	50.2	52.0	52.9	49.8	53.0	52.0	52.5	52.2	51.8	52.4	51.6	52.3	54.5
	US ISM	48.5	48.3	47.0	47.5	47.5	46.9	48.4	49.2	50.5	50.0	48.9	48.8	48.6	49.0	48.4	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	52.7
Middle East	Egypt	49.6	49.9	49.7	50.4	48.8	49.0	49.2	48.1	50.7	50.1	49.2	48.5	49.5	48.8	49.5	49.2	48.8	49.2	51.1	50.2	49.8	48.9	48.0	46.6
	Lebanon	47.9	47.8	48.3	47.9	47.0	45.0	48.1	48.8	50.6	50.5	47.6	49.0	48.9	49.2	48.9	50.3	51.5	50.6	51.3	51.2	50.1	51.2	47.4	48.2
	Saudi Arabia	56.4	55.0	54.4	54.8	56.3	56.9	59.0	58.4	60.5	58.4	58.1	55.6	55.8	57.2	56.3	56.4	57.8	60.2	58.5	57.4	56.3	56.1	48.8	51.5
	South Africa	50.4	49.2	49.3	50.5	51.0	50.6	50.9	49.9	47.4	49.0	48.3	50.0	50.8	50.1	50.3	50.1	50.2	48.8	49.0	47.7	50.0	50.0	50.8	51.6
	United Arab Emirates	55.3	54.6	53.7	54.2	53.8	54.1	54.2	55.4	55.0	55.0	54.0	54.0	53.3	53.5	52.9	53.3	54.2	53.8	54.8	54.2	54.9	55.0	52.9	52.1

Source: Bloomberg Finance L.P.

Demand: Chinese economic data heat map

Table 10: China economic data heat map

	Units	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	
Property	70 cities newly built price index	YoY	-6.1%	-6.2%	-6.1%	-5.7%	-5.4%	-5.2%	-5.0%	-4.6%	-4.1%	-3.7%	-3.4%	-3.0%	-2.7%	-2.6%	-2.8%	-3.1%	-3.3%	-3.5%	-3.6%	-3.7%
	Residential building starts (million sqm)	YoY	-17.7%	-25.7%	-27.3%	-15.8%	-29.1%	-29.1%	-18.6%	-17.9%	-17.4%	-13.2%	-8.7%	-19.0%	-17.9%	-29.9%	-26.8%	-18.8%	-23.4%	-23.4%	-20.3%	-28.2%
	Residential building sales (million sqm)	YoY	-11.0%	-0.5%	4.2%	4.5%	-3.7%	-3.7%	-1.2%	-3.5%	-5.5%	-8.1%	-8.1%	-10.0%	-12.5%	-20.8%	-19.1%	-18.9%	-16.0%	-16.0%	-10.8%	-9.6%
	Residential area under const. (million sqm)	YoY	-12.7%	-12.9%	-13.1%	-13.0%	-9.7%	-9.7%	-10.0%	-10.1%	-9.6%	-9.5%	-9.4%	-9.6%	-9.8%	-9.8%	-10.0%	-10.4%	-11.9%	-11.9%	-12.1%	-12.5%
	Residential const. completed (m. sqm)	YoY	-29.9%	-19.5%	-40.0%	-25.4%	-17.7%	-17.7%	-8.4%	-26.2%	-21.6%	-4.2%	-31.0%	-28.2%	-5.2%	-31.1%	-28.0%	-20.6%	-26.9%	-26.9%	-25.9%	-22.4%
	FAI - real estate (RMB)	YTD/YTD	-10.1%	-10.3%	-10.4%	-10.6%	-9.8%	-9.8%	-9.9%	-10.3%	-10.7%	-11.2%	-12.0%	-12.9%	-13.9%	-14.7%	-15.9%	-17.2%	-11.1%	-11.1%	-11.2%	-13.7%
Infrastructure	FAI - total (RMB)	YTD/YTD	3.4%	3.4%	3.3%	3.2%	4.1%	4.1%	4.2%	4.0%	3.7%	2.8%	1.6%	0.5%	-0.5%	-1.7%	-2.6%	-3.8%	1.8%	1.8%	1.7%	-1.6%
	Infrastructure investment (3mma RMB)	YoY	11%	11%	12%	9%	9%	9%	11%	11%	10%	8%	4%	-1%	-5%	-9%	-11%	-13%	-6%	-6%	9%	5%
	Cement output (Mt)	YoY	-10.8%	-8.5%	-10.8%	-1.8%	-6.5%	-6.5%	2.2%	-5.0%	-8.1%	-5.2%	-5.3%	-6.1%	-8.3%	-15.6%	-8.9%	-7.1%	4.3%	4.3%	-22.0%	-11.9%
Manufacturing	China Manufacturing PMI (NBS)	Index	49.8	50.1	50.3	50.1	49.1	50.2	50.5	49.0	49.5	49.7	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3
	FAI - manufacturing	YTD/YTD	9.2%	9.3%	9.3%	9.2%	9.0%	9.0%	9.1%	8.8%	8.5%	7.5%	6.2%	5.1%	4.0%	2.7%	1.9%	0.6%	3.1%	3.1%	4.1%	1.2%
	Excavator production (units)	YoY (3mma)	64%	61%	54%	40%	31%	23%	17%	15%	12%	11%	14%	18%	23%	23%	23%	25%	22%	23%	53%	61%
	Heavy-duty truck sales (units)	YoY (3mma)	-9%	1%	9%	16%	5%	4%	-2%	17%	27%	41%	53%	57%	69%	60%	62%	54%	52%	37%	28%	19%
	Airconditioner production (units)	YoY	16.9%	18.0%	23.3%	10.1%	9.7%	9.7%	9.3%	1.7%	1.5%	1.2%	2.0%	12.3%	-4.0%	-12.3%	-23.6%	-8.7%	-2.8%	-2.8%	2.5%	
	Washing machine production (units)	YoY	5.8%	8.9%	7.8%	33.7%	14.1%	14.1%	18.3%	3.2%	1.1%	15.9%	3.5%	0.0%	7.3%	0.0%	8.1%	-2.4%	0.3%	0.3%	5.5%	
	Refrigerator production (units)	YoY	7.9%	8.4%	3.6%	9.8%	10.0%	10.0%	-5.1%	-11.8%	-4.5%	3.4%	4.8%	5.6%	5.2%	-2.2%	9.3%	11.1%	10.1%	10.1%	16.0%	
	Freezer production (units)	YoY	11.0%	5.9%	0.8%	1.5%	-9.3%	-9.3%	-16.5%	-15.2%	0.5%	18.8%	4.0%	3.7%	5.0%	-0.9%	7.2%	9.0%	20.5%	20.5%	20.0%	
	Total automobile production (3mma units)	YoY	0.1%	-1.0%	0.9%	2.9%	3.8%	8.3%	10.8%	11.9%	12.0%	12.5%	14.5%	11.7%	12.7%	13.2%	11.2%	8.6%	6.8%	2.5%	-0.8%	-3.2%
	Passenger vehicle sales (units)	YoY	1.5%	10.7%	15.2%	11.7%	0.8%	36.2%	10.4%	11.0%	13.3%	14.5%	14.7%	16.5%	13.2%	7.5%	1.2%	-8.7%	-6.8%	-15.4%	-2.3%	-4.2%
	Commercial vehicle sales (units)	YoY	-23.5%	-18.3%	-13.9%	1.2%	-10.3%	25.0%	-2.4%	2.7%	-2.0%	9.5%	14.1%	16.3%	29.6%	21.0%	24.4%	15.3%	23.5%	-14.0%	8.9%	8.1%
	Ship construction (units)	YTD/YTD	10.8%	13.0%	15.2%	17.0%	8.8%	8.8%	12.7%	9.1%	7.8%	9.4%	11.1%	14.3%	19.0%	19.3%	19.8%	18.2%	37.5%	37.5%	28.2%	
	Freight traffic volume	YoY	-2.5%	0.2%	2.4%	3.7%	0.0%	0.0%	2.9%	8.4%	2.2%	-0.1%	6.5%	8.8%	6.3%	2.8%	4.5%	-1.7%	0.0%	1.3%	6.9%	
	Total energy consumption	YTD/YTD	7.9%	7.6%	7.1%	6.8%	0.7%	0.7%	2.5%	3.1%	3.4%	3.7%	4.5%	4.6%	4.6%	5.1%	5.2%	5.0%	3.1%	3.1%	5.2%	5.4%
	Industrial production	YoY	5.4%	5.3%	5.4%	6.2%	5.9%	5.9%	7.7%	6.1%	5.8%	6.8%	5.7%	5.2%	6.5%	4.9%	4.8%	5.2%	6.3%	6.3%	5.7%	4.1%
Other indicators	GDP growth (quarterly)	YoY	4.6%	4.6%	4.6%	5.4%	5.4%	5.4%	5.4%	5.4%	5.2%	5.2%	5.2%	4.8%	4.8%	4.8%	4.5%	4.5%	4.5%	5.0%	5.0%	
	Li Keqiang Index	YoY	5.1%	4.1%	3.9%	4.0%	4.0%	4.0%	4.3%	4.9%	3.5%	3.5%	5.3%	5.1%	4.5%	6.3%	4.5%	2.2%	2.2%	4.3%	4.2%	4.2%
	Inflation rate (%)	%	0.4%	0.3%	0.2%	0.1%	0.5%	-0.7%	-0.1%	-0.1%	-0.1%	0.1%	0.0%	-0.4%	-0.3%	0.2%	0.7%	0.8%	0.2%	1.3%	1.0%	1.2%
	China monetary conditions index	Index	60	58	56	55	57	50	55	59	58	61	59	55	55	58	60	54	61	54		
	China interbank repo 7 day rate	%	2.3%	1.7%	1.6%	1.8%	1.9%	1.9%	2.5%	2.0%	1.8%	2.3%	1.6%	1.5%	1.5%	1.5%	1.8%	1.6%	1.5%	1.4%	1.4%	
	SHIBOR	%	1.5%	1.4%	1.3%	1.5%	1.7%	1.9%	1.7%	1.8%	1.5%	1.4%	1.4%	1.3%	1.4%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%

Source: Bloomberg Finance L.P.

Demand: Global steel output

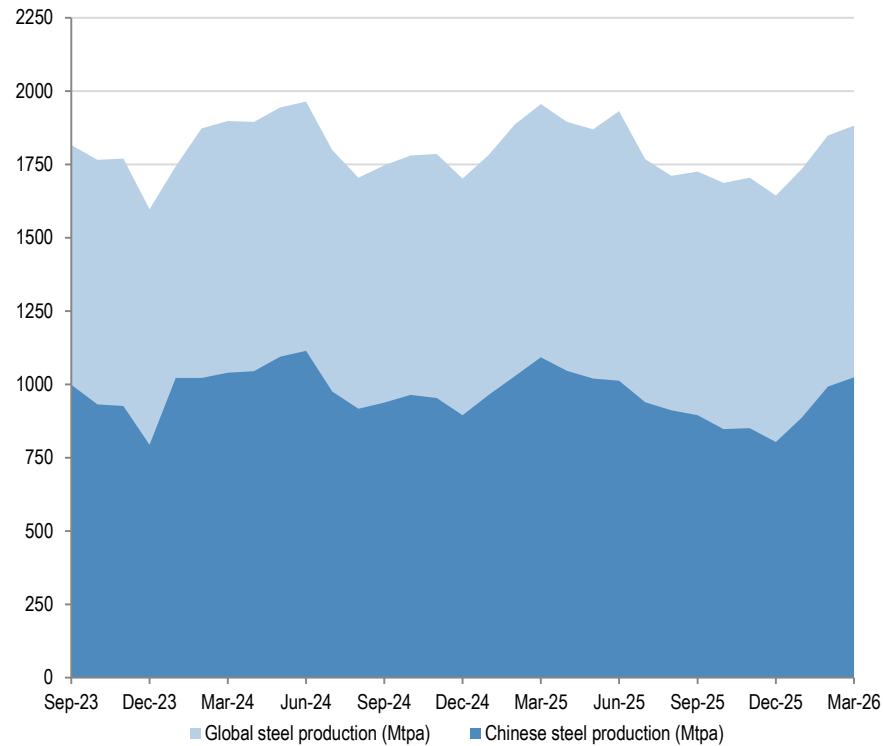
Table 11: World steel production

	2024	2025	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26
China	1,005	961	916	830	799	780	819	78.4	76.0	87.4	78.9	92.9	86.0	86.6	83.2	79.7	77.4	73.5	72.0	69.9	68.2	84.2	76.1	87.0	83.6
Annualised (Mtpa)			1,115	977	941	949	964	954	895	1,029	1,029	1,094	1,047	1,019	1,012	938	911	894	848	850	803	992	992	1,025	1,017
Year to date (Mt)			528	614	693	769	851	929	1,005	87	166	259	345	432	515	595	672	746	818	887	956	84	160	247	331
Change YTD			-1.8%	-2.4%	-3.2%	-3.7%	-3.1%	-2.6%	-1.6%	0.7%	-1.2%	0.8%	0.6%	-1.0%	-2.4%	-3.1%	-3.0%	-3.0%	-3.9%	-4.5%	-4.9%	-3.6%	-3.6%	-4.6%	-4.1%
Change MoM			1.8%	-12.3%	-3.7%	0.9%	1.6%	-1.1%	-6.2%	15.0%	0.0%	6.3%	-4.4%	-2.6%	-0.7%	-7.3%	-2.9%	-1.8%	-5.2%	0.3%	-5.6%	23.6%	0.0%	3.3%	-0.7%
Change YoY	-1.7%	-4.4%	-0.9%	-9.0%	-8.1%	-4.9%	2.9%	2.5%	11.9%	0.7%	0.2%	4.7%	0.0%	-6.9%	-9.2%	-4.0%	-3.2%	-5.8%	-12.1%	-10.9%	-10.3%	-3.6%	-3.6%	-6.3%	-2.8%
World ex-China	878	843	69.2	69.1	64.9	66.0	70.4	68.5	69.0	70.3	66.0	74.0	70.4	71.6	69.7	69.8	68.4	69.2	72.1	70.9	71.4	72.2	66.4	72.9	69.8
Annualised (Mtpa)			842	813	764	803	829	833	812	827	861	871	856	842	848	822	805	842	849	862	841	850	865	858	849
Year to date (Mt)			425	491	560	625	695	764	833	70	136	210	281	352	422	492	560	629	701	772	844	72	139	211	281
Change YTD			3.0%	1.9%	2.0%	1.1%	0.9%	0.7%	0.7%	-2.1%	-2.8%	-1.4%	-1.0%	-1.0%	-0.7%	0.1%	-0.1%	0.7%	0.9%	1.1%	1.3%	2.7%	1.6%	0.5%	0.2%
Change MoM			-0.8%	-3.5%	-6.0%	5.1%	3.2%	0.6%	-2.5%	1.8%	4.1%	1.2%	-1.7%	-1.6%	0.6%	-3.1%	-2.0%	4.6%	0.8%	1.6%	-2.5%	1.1%	1.9%	-0.8%	-1.0%
Change YoY	0.2%	-3.9%	1.5%	-0.2%	-4.4%	-3.6%	-1.0%	-0.9%	0.1%	-2.1%	0.0%	1.3%	0.0%	-0.8%	0.6%	1.0%	5.4%	4.8%	2.4%	3.5%	3.5%	2.7%	0.5%	-1.5%	-0.8%
Total	1,883	1,804	161	152	145	144	152	147	145	158	145	167	156	158	153	149	146	143	144	141	140	156	142	160	153
Annualised (Mtpa)			1,957	1,790	1,705	1,753	1,793	1,788	1,707	1,856	1,890	1,965	1,903	1,862	1,860	1,759	1,716	1,736	1,696	1,712	1,643	1,841	1,857	1,883	1,867
Year to date (Mt)			953	1,105	1,254	1,394	1,546	1,693	1,838	158	303	470	626	784	937	1,086	1,232	1,375	1,519	1,660	1,799	156	299	459	612
Change YTD			0.3%	-0.5%	-0.9%	-1.6%	-1.3%	-1.1%	-0.6%	-0.6%	-1.9%	-0.2%	-0.1%	-1.0%	-1.7%	-1.7%	-1.7%	-1.4%	-1.7%	-2.0%	-2.1%	-0.8%	-1.2%	-2.3%	-2.2%
Change MoM			0.7%	-8.5%	-4.7%	2.8%	2.3%	-0.3%	-4.5%	8.7%	1.8%	4.0%	-3.2%	-2.2%	-0.1%	-5.4%	-2.4%	1.2%	-2.3%	0.9%	-4.0%	12.1%	0.9%	1.4%	-0.8%
Change YoY	-0.8%	-4.2%	0.1%	-5.2%	-6.5%	-4.3%	1.1%	0.9%	6.0%	-0.6%	0.1%	3.2%	0.0%	-4.2%	-5.0%	-1.7%	0.6%	-0.9%	-5.4%	-4.2%	-3.7%	-0.8%	-1.7%	-4.2%	-1.9%
India	150	165	12.0	12.3	12.4	12.0	12.8	12.4	13.4	13.7	12.6	14.0	13.3	13.7	13.4	13.9	14.0	13.6	13.9	13.7	14.9	15.3	13.6	15.3	13.8
Japan	84	81	7.0	7.1	6.9	6.6	6.9	6.9	6.8	6.8	6.4	7.2	6.6	6.8	6.7	6.9	6.6	6.4	6.9	6.8	6.6	6.8	6.4	6.9	6.6
South Korea	64	62	5.1	5.5	5.5	5.1	5.4	5.2	5.4	4.8	5.3	5.0	5.2	5.3	5.4	5.2	5.0	5.2	5.1	5.3	5.6	4.8	5.4	5.2	5.2
Oceania	5	6	0.5	0.6	0.6	0.5	0.5	0.5	0.5	0.6	0.5	0.6	0.6	0.6	0.6	0.6	0.6	0.5	0.6	0.6	0.5	0.5	0.5	0.6	0.5
European Union	129	126	11.3	10.9	9.1	10.5	11.2	10.6	9.5	10.5	10.2	11.9	11.2	11.5	10.4	10.1	9.0	10.7	11.0	10.2	9.4	10.2	9.8	11.4	11.0
Other Europe	45	43	3.6	3.5	3.6	3.5	3.5	3.4	3.3	3.6	3.3	3.6	3.4	3.6	3.3	3.5	3.7	3.6	3.6	3.7	3.8	3.7	3.4	3.8	3.6
CIS	85	81	7.4	7.1	7.0	6.6	6.7	6.6	7.1	7.1	6.7	7.2	7.0	7.1	6.9	6.5	6.7	6.2	6.4	6.6	6.9	6.4	6.0	6.6	6.0
USA	79	82	6.6	6.8	6.9	6.4	6.4	6.3	6.7	6.8	6.2	6.8	6.5	6.9	7.0	7.1	7.1	6.9	6.9	6.7	6.9	7.1	6.5	7.2	7.2
Other North America	26	25	2.0	2.1	2.1	2.2	2.3	2.2	2.4	2.4	2.2	2.4	2.3	1.8	2.1	2.0	2.0	2.0	2.2	2.0	2.1	2.1	1.9	2.3	2.3
South America	42	41	3.4	3.7	3.7	3.6	3.7	3.4	3.2	3.4	3.3	3.6	3.3	3.4	3.5	3.4	3.6	3.5	3.7	3.5	3.2	3.4	3.1	3.6	3.4
Middle East & Africa	83	80	6.2	5.4	5.0	6.0	6.9	6.9	6.5	6.2	5.6	7.2	7.1	6.8	6.4	6.3	5.8	6.6	7.4	7.5	7.5	6.8	5.7	5.7	5.9
Change: YoY	2024	2025	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26
China	-1.7%	-4.4%	-0.9%	-9.0%	-8.1%	-4.9%	2.9%	2.5%	11.9%	0.7%	0.2%	4.7%	0.0%	-6.9%	-9.2%	-4.0%	-3.2%	-5.8%	-12.1%	-10.9%	-10.3%	-3.6%	-3.6%	-6.3%	-2.8%
World ex-China	0.2%	-3.9%	1.5%	-0.2%	-4.4%	-3.6%	-1.0%	-0.9%	0.1%	-2.1%	0.0%	1.3%	0.0%	-0.8%	0.6%	1.0%	5.4%	4.8%	2.4%	3.5%	3.5%	2.7%	0.5%	-1.5%	-0.8%
Total	-0.8%	-4.2%	0.1%	-5.2%	-6.5%	-4.3%	1.1%	0.9%	6.0%	-0.6%	0.1%	3.2%	0.0%	-4.2%	-5.0%	-1.7%	0.6%	-0.9%	-5.4%	-4.2%	-3.7%	-0.8%	-1.7%	-4.2%	-1.9%
India	6.3%	10.2%	3.5%	6.8%	3.9%	2.1%	4.6%	4.5%	8.3%	7.4%	9.8%	8.6%	9.0%	10.8%	12.4%	13.5%	12.6%	13.5%	8.9%	11.0%	10.8%	11.5%	7.7%	9.4%	3.9%
Japan	-3.4%	-4.0%	-4.2%	-3.9%	-3.9%	-5.8%	-7.8%	-3.1%	-1.1%	-6.6%	-5.2%	0.2%	-6.4%	-4.7%	-4.5%	-2.5%	-3.4%	-3.7%	-1.0%	-1.6%	-4.9%	-0.5%	0.0%	-4.1%	0.3%
South Korea	-4.7%	-2.6%	-7.0%	-4.2%	-1.2%	-6.0%	-1.3%	-3.1%	-0.5%	-6.3%	-2.6%	0.9%	-1.7%	0.9%	3.7%	-2.0%	-5.5%	-1.5%	-4.9%	-1.7%	-1.9%	4.6%	0.2%	1.5%	4.8%
Other Asia Pacific	-10.6%	7.6%	-19.9%	-7.9%	-9.4%	-15.5%	-18.0%	-3.5%	-3.9%	0.2%	-0.8%	9.1%	10.3%	12.1%	17.5%	3.1%	3.3%	13.7%	13.8%	12.2%	10.7%	-9.4%	-3.0%	0.7%	-6.2%
European Union	2.6%	-2.6%	7.4%	6.8%	1.8%	0.7%	4.3%	2.8%	6.1%	-1.1%	-3.0%	1.5%	-2.3%	-2.3%	-8.4%	-7.6%	-1.0%	1.5%	-1.3%	-3.3%	-1.4%	-2.6%	-3.6%	-4.6%	-1.8%
Other Europe	3.3%	-4.8%	-3.1%	-3.0%	8.0%	1.1%	-2.7%	-5.5%	-14.3%	-6.9%	-6.7%	-6.4%	-0.5%	-8.5%	-6.6%	-1.1%	2.0%	4.4%	3.4%	9.8%	15.2%	3.7%	3.1%	4.9%	4.2%
CIS	-5.9%	-4.4%	1.7%	-6.3%	-9.0%	-10.3%	-12.2%	-6.2%	-2.4%	0.6%	-1.0%	-5.4%	-6.1%	-6.5%	-6.4%	-7.7%	-4.7%	-5.6%	-4.4%	0.6%	-2.4%	-9.0%	-10.5%	-7.9%	-13.4%
USA	-2.4%	3.1%	-2.0%	0.4%	-0.9%	-2.0%	-4.5%	-4.5%	-2.4%	4.3%	-1.2%	0.4%	-0.7%	0.6%	5.2%	4.4%	2.2%	7.2%	8.3%	7.2%	3.4%	4.1%	5.8%	5.2%	9.4%
Other North America	-9%	-4%	-13.9%	-9.0%	-11.8%	-5.6%	-5.7%	-8.0%	1.6%	-4.1%	-0.6%	0.6%	-4.4%	-22.9%	4.0%	-2.7%	-7.7%	-10.4%	-0.7%	-8.8%	-11.7%	-14.1%	-13.9%	-1.6%	-0.2%
South America	0.1%	-0.5%	1.4%	7.9%	3.4%	5.8%	6.7%	-2.9%	-1.8%	-3.3%	-1.4%	4.6%	-3.4%	4.0%	1.5%	-8.0%	-3.7%	-2.7%	-0.3%	3.2%	0.3%	-1.1%	-7.7%	-0.5%	4.4%
Middle East & Africa	1.5%	-3.0%	-5.5%	-9.9%	-7.6%	-1.7%	3.8%	0.5%	-3.5%	-11.9%	-2.4%	2.1%	3.3%	-2.1%	4.3%	16.9%	14.9%	8.9%	6.8%	8.0%	14.7%	10.5%	1.7%	-21.2%	-17.2%

Source: World Steel Association.

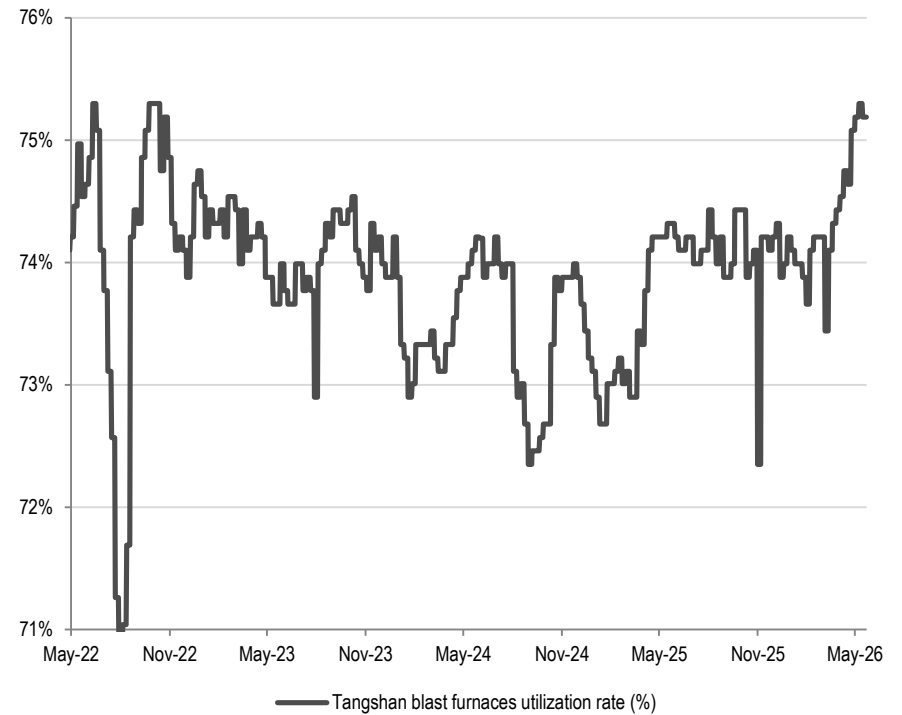
Demand: Global and China steel production

Figure 10: Global and China steel production (Mtpa)



Source: Bloomberg Finance L.P.

Figure 11: Tangshan blast furnace utilization rate



Source: Bloomberg Finance L.P.

Demand: China steel production

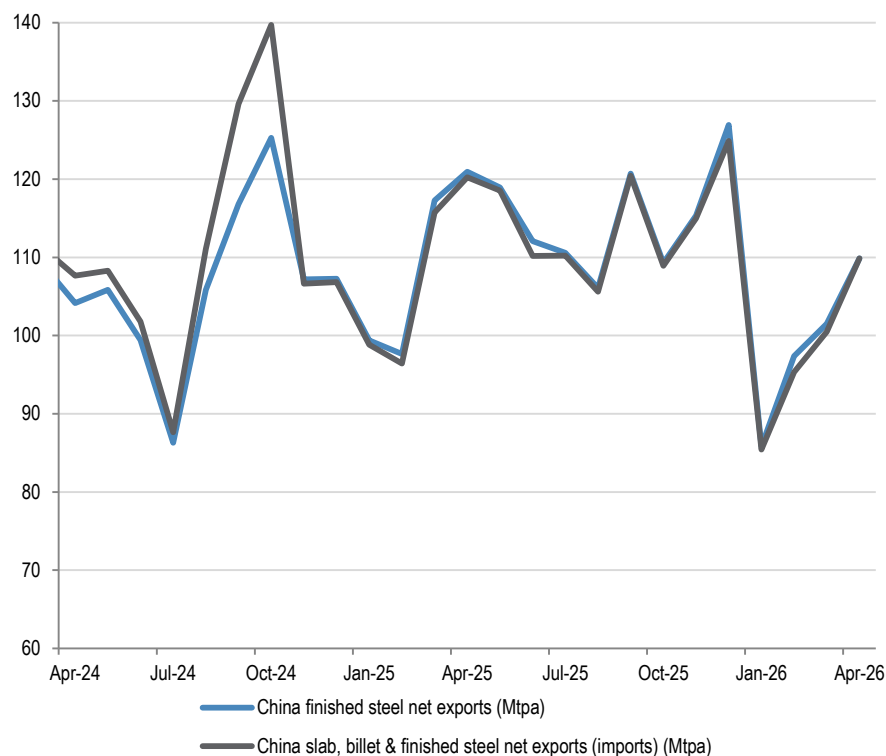
Table 12: China steel monthly production by region (Mtpa rate)

Region (Mtpa rate)	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26
Hebei	236	184	175	178	173	165	152	208	230	230	228	227	223	195	168	153	144	139	146	202	223	220	
Jiangsu	124	116	110	113	108	121	106	118	131	132	130	124	123	110	109	108	99	100	82	118	131	126	
Shandong	83	74	68	69	72	69	61	71	79	73	74	71	69	66	67	65	63	65	58	65	72	71	
Liaoning	76	69	66	66	71	70	71	67	74	71	70	72	72	70	66	67	65	66	66	64	70	62	
Shanxi	76	58	55	59	67	57	48	61	68	69	58	60	54	53	50	53	44	37	38	56	62	59	
Henan	29	27	26	27	24	21	17	26	29	36	33	29	28	26	25	23	23	21	19	26	29	29	
Guangdong	45	38	36	35	37	37	37	36	40	41	41	45	41	39	40	38	37	37	34	37	41	43	
Hubei	37	32	31	30	35	30	34	31	35	39	35	31	33	33	33	34	34	31	17	32	35	33	
Anhui	40	38	34	38	39	39	38	35	38	41	42	37	37	35	36	32	33	28	15	36	40	39	
Jiangxi	30	28	23	24	23	24	26	26	28	25	30	25	24	22	24	23	23	26	28	23	25	27	
Tianjin	17	16	15	18	15	13	12	17	18	17	17	17	17	14	12	13	14	14	13	14	15	16	
Guangxi	51	48	46	39	40	41	24	51	56	58	35	32	35	32	32	32	30	50	49	50	55	53	
Hunan	24	22	22	24	26	25	22	22	24	24	23	21	21	22	21	21	22	22	20	20	22	24	
Inner Mongolia	35	34	30	28	31	33	33	31	35	31	30	30	33	34	31	33	31	33	34	28	31	26	
Sichuan	28	27	27	30	30	32	34	27	29	31	30	28	28	27	25	26	26	25	25	27	30	32	
Fujian	39	29	30	29	34	40	42	34	38	42	40	38	34	31	34	36	32	33	34	36	40	37	
Shanghai	15	15	16	17	17	17	17	16	18	14	14	16	15	15	16	15	16	15	16	16	18	14	
Yunnan	23	21	16	15	21	24	25	19	21	22	22	21	22	20	20	20	18	19	19	19	21	21	
Xinjiang	17	16	15	14	15	12	8	8	8	12	15	16	17	16	18	17	16	12	9	8	8	13	
Shaanxi	16	15	14	15	15	14	12	10	11	12	14	12	12	12	12	12	12	11	15	9	10	9	
Zhejiang	15	13	11	14	15	15	15	12	13	15	14	13	13	13	13	14	14	14	14	11	12	15	
Jilin	13	14	12	14	13	13	21	13	15	12	10	13	16	13	16	19	17	15	15	13	14	12	
Heilongjiang	10	9	9	8	9	8	8	9	10	10	9	9	10	9	9	8	6	8	8	9	10	10	
Gansu	11	9	11	11	12	12	10	10	11	13	11	11	12	12	12	11	10	9	9	11	12	12	
Chongqing	10	9	7	9	10	10	10	9	10	10	9	10	10	10	8	7	9	7	6	7	10	10	
Guizhou	6	6	6	6	7	4	5	5	5	5	4	5	5	3	4	6	5	6	6	4	5	4	
Ningxia	7	7	6	6	7	6	5	5	6	7	6	6	6	6	6	6	5	4	3	4	5	4	
Qinghai	2	2	1	2	2	2	2	1	2	2	2	1	2	1	2	1	1	2	2	2	2	2	
Total China (Mtpa rate)	1115	977	917	938	964	954	894	979	1084	1093	1047	1019	1012	938	911	894	848	850	803	944	1045	1025	1017
Change YoY	0.5%	-8.7%	-9.8%	-6.1%	3.5%	3.0%	12.6%	-1.0%	2.5%	5.2%	0.1%	-6.8%	-9.2%	-4.0%	-0.7%	-4.6%	-12.1%	-10.9%	-10.3%	-3.6%	-3.6%	-6.2%	-2.8%

Source: Bloomberg Finance L.P.

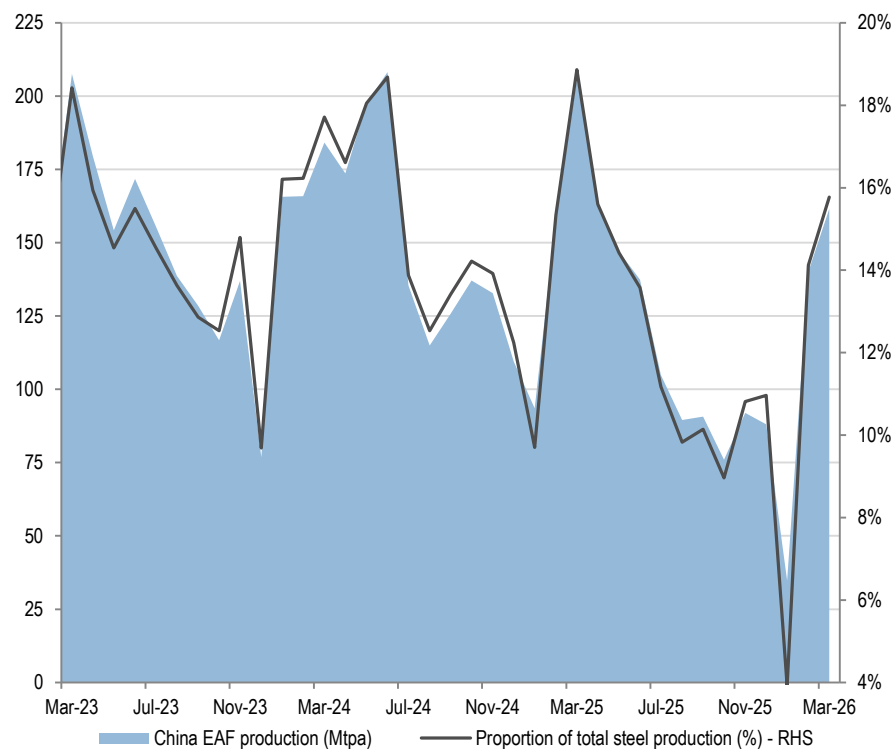
Demand: China steel net exports and EAF production

Figure 12: Chinese finished steel net exports (Mtpa)



Source: Bloomberg Finance L.P.

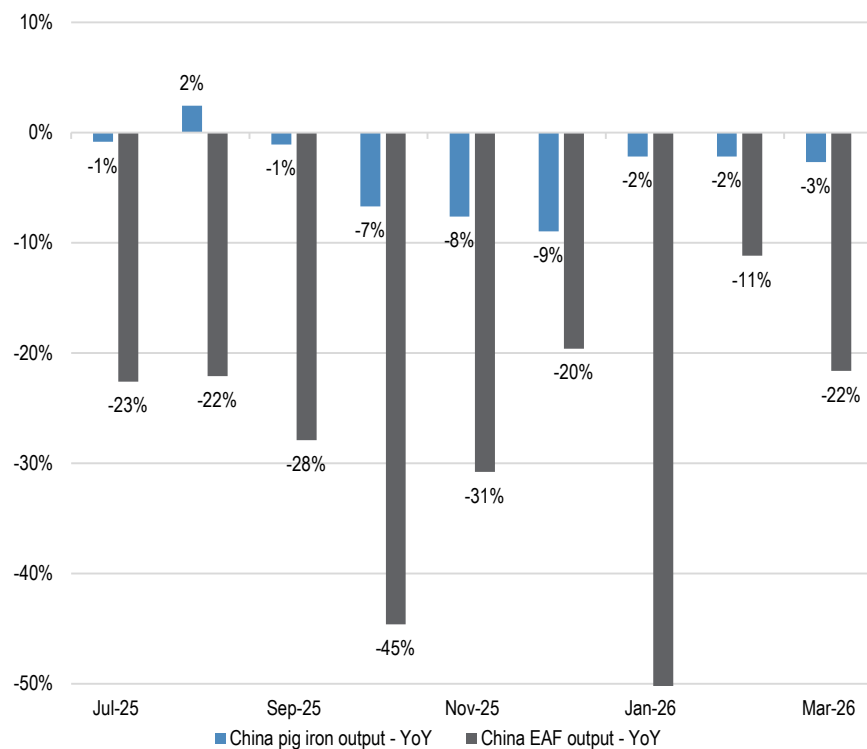
Figure 13: China implied electric arc furnace production (Mtpa)



Source: Bloomberg Finance L.P., J.P. Morgan calculations. *Note: calculated as total crude steel output less pig iron production.

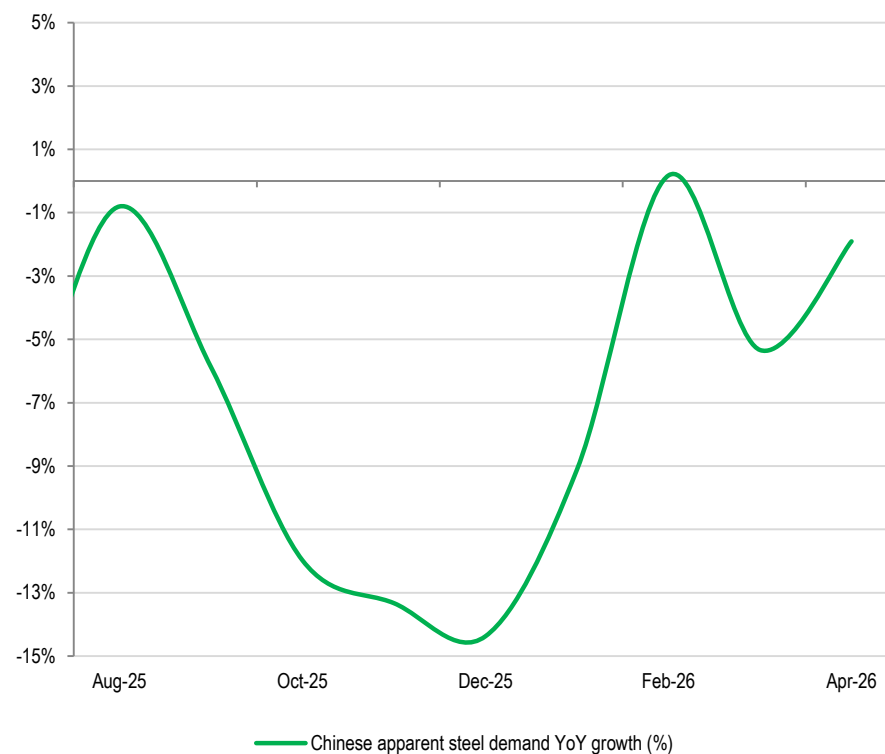
Demand: Chinese output and steel consumption growth

Figure 14: Chinese pig iron vs EAF output YoY change (%)



Source: Bloomberg Finance L.P.

Figure 15: Chinese steel apparent demand YoY change (%)



Source: Bloomberg Finance L.P.

Demand: China residential property

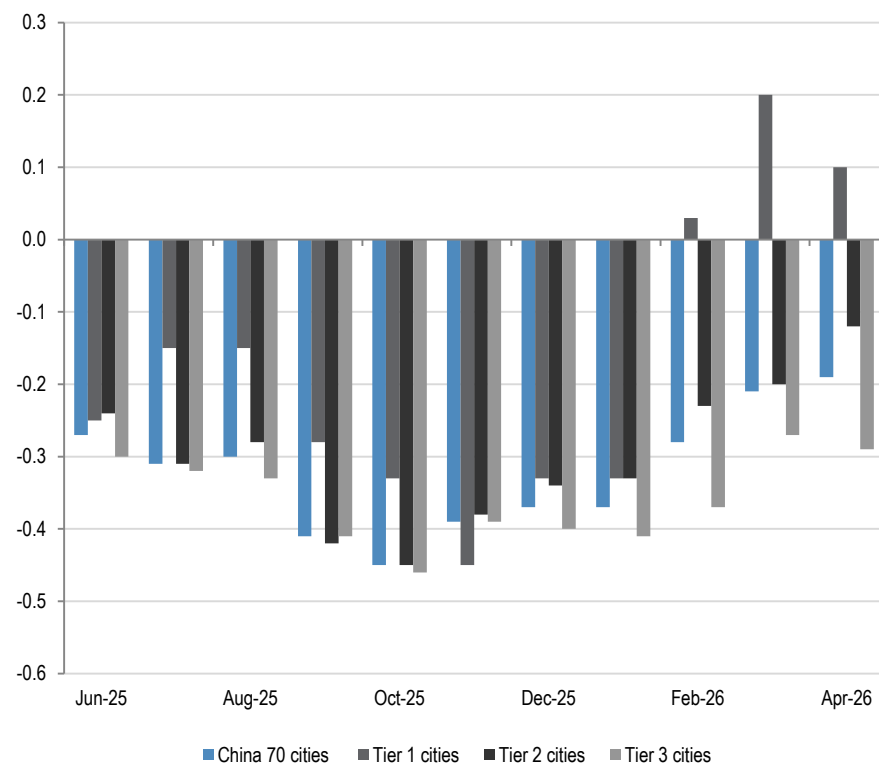
Table 13: China property prices YoY change (%)

	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26
Tier 1																									
Beijing	-1	-2	-2	-3	-4	-5	-5	-5	-5	-5	-6	-6	-6	-5	-4	-4	-4	-3	-2	-2	-2	-2	-2	-2	-2
Shanghai	4	5	4	4	5	5	5	5	5	6	6	6	6	6	6	6	6	6	6	5	5	4	4	4	4
Guangzhou	-7	-8	-9	-10	-10	-10	-10	-10	-9	-8	-8	-7	-6	-6	-5	-5	-4	-4	-4	-4	-5	-5	-5	-5	-4
Shenzhen	-7	-7	-8	-8	-8	-9	-8	-7	-6	-5	-4	-4	-3	-3	-3	-2	-2	-2	-2	-3	-4	-5	-6	-6	-5
Tier 2																									
Tianjin	0	-1	-1	-1	-1	-2	-3	-3	-2	-2	-3	-2	-2	-2	-2	-2	-2	-1	-2	-2	-3	-4	-4	-5	-5
Shijiazhuang	-1	-2	-3	-3	-2	-2	-3	-3	-3	-4	-4	-4	-4	-3	-3	-3	-3	-4	-4	-4	-4	-4	-4	-5	-5
Taiyuan	0	-1	-1	-1	-1	-1	0	1	0	1	1	1	1	1	1	1	1	1	0	-1	-1	-1	-2	-2	-2
Hohhot	-3	-3	-4	-4	-4	-5	-5	-5	-6	-6	-6	-6	-6	-6	-5	-6	-6	-5	-5	-4	-4	-4	-4	-4	-4
Shenyang	-3	-4	-4	-4	-5	-5	-5	-4	-4	-4	-3	-3	-3	-2	-1	-1	0	0	0	0	0	0	0	0	0
Dalian	-4	-5	-6	-6	-6	-6	-7	-6	-6	-6	-5	-5	-4	-4	-3	-3	-3	-2	-2	-1	-1	-1	-1	-1	-1
Changchun	-3	-3	-4	-3	-3	-4	-4	-3	-3	-4	-4	-4	-4	-4	-4	-4	-4	-3	-3	-4	-3	-3	-2	-2	-2
Harbin	-4	-5	-6	-6	-6	-6	-7	-7	-6	-6	-5	-5	-5	-5	-4	-4	-4	-3	-2	-3	-2	-3	-3	-2	-2
Nanjing	-8	-9	-9	-10	-9	-9	-9	-8	-6	-5	-3	-2	-2	-1	-1	0	-1	-2	-2	-2	-3	-4	-4	-4	-3
Hangzhou	0	0	-1	-2	-2	-2	-3	-3	-2	-1	-1	-1	0	2	2	2	3	4	4	3	2	2	3	2	2
Ningbo	-4	-6	-8	-8	-8	-9	-9	-9	-8	-7	-7	-6	-4	-3	-1	-1	-1	0	1	-1	-1	-2	-2	-2	-2
Hefei	-3	-3	-4	-4	-5	-5	-6	-6	-6	-6	-5	-5	-4	-4	-3	-2	-1	0	0	1	2	2	1	1	1
Fuzhou	-5	-6	-6	-7	-8	-9	-9	-9	-8	-8	-7	-7	-6	-6	-5	-5	-3	-2	-2	-2	-3	-3	-4	-5	-5
Xiamen	-7	-8	-9	-10	-11	-11	-11	-10	-9	-8	-7	-7	-5	-4	-3	-2	-1	-1	-1	-2	-3	-3	-3	-3	-3
Nanchang	-5	-6	-6	-7	-7	-7	-8	-7	-6	-6	-5	-4	-5	-5	-5	-5	-5	-4	-4	-4	-5	-5	-5	-5	-6
Jinan	-1	-3	-3	-4	-5	-6	-7	-7	-6	-6	-6	-5	-5	-5	-4	-4	-4	-2	-2	-3	-3	-3	-3	-4	-4
Qingdao	-4	-5	-6	-6	-7	-7	-7	-7	-6	-5	-5	-4	-4	-3	-2	-2	-2	-1	-1	-1	-2	-3	-3	-3	-3
Zhengzhou	-6	-7	-7	-7	-7	-7	-7	-7	-6	-5	-5	-5	-4	-4	-4	-4	-4	-3	-3	-4	-5	-6	-6	-6	-6
Wuhan	-5	-7	-8	-8	-8	-9	-10	-9	-8	-7	-7	-6	-5	-4	-3	-4	-3	-3	-2	-3	-3	-4	-4	-4	-4
Changsha	0	-2	-2	-3	-4	-5	-6	-7	-7	-7	-7	-6	-5	-4	-3	-3	-2	-2	-1	-2	-2	-2	-3	-3	-3
Nanning	-6	-7	-8	-7	-8	-8	-9	-8	-8	-7	-6	-5	-5	-3	-2	-2	-1	0	1	0	-1	-2	-2	-3	-3
Haikou	-1	-1	-2	-3	-4	-5	-6	-5	-5	-4	-4	-4	-4	-4	-5	-5	-5	-5	-4	-5	-5	-6	-6	-6	-5
Chongqing	-1	-3	-3	-5	-5	-6	-6	-6	-6	-5	-5	-6	-4	-3	-2	-2	-2	-3	-3	-3	-4	-4	-4	-4	-5
Chengdu	1	0	-1	-2	-3	-4	-5	-5	-4	-3	-3	-2	-2	-1	0	0	1	1	1	-1	-2	-3	-4	-5	-5
Guiyang	-2	-3	-3	-4	-4	-5	-6	-5	-5	-5	-5	-5	-5	-4	-4	-4	-3	-3	-3	-3	-3	-4	-4	-4	-4
Kunming	-4	-5	-6	-6	-7	-7	-8	-8	-8	-8	-8	-8	-8	-7	-7	-7	-5	-5	-5	-5	-6	-6	-7	-6	-6
Xian	-4	-4	-4	-3	-3	-2	-1	0	0	-1	-2	-2	-3	-3	-4	-4	-5	-5	-5	-5	-6	-6	-6	-6	-6
Lanzhou	-4	-5	-7	-8	-9	-9	-8	-9	-8	-8	-7	-8	-8	-7	-6	-5	-4	-4	-3	-4	-4	-5	-5	-5	-4
Xining	-6	-6	-7	-7	-6	-6	-7	-7	-6	-6	-5	-6	-5	-5	-5	-4	-4	-4	-4	-3	-3	-4	-3	-4	-4
Yinchuan	-3	-4	-5	-5	-6	-6	-5	-5	-5	-4	-4	-4	-4	-4	-3	-3	-3	-3	-4	-4	-4	-3	-3	-3	-3
Urumqi	-3	-3	-3	-4	-4	-4	-4	-4	-3	-3	-3	-3	-2	-2	-1	0	1	1	1	1	1	1	0	0	0
Tier 3																									
Tangshan	-5	-6	-6	-7	-7	-8	-8	-8	-8	-8	-8	-8	-7	-7	-7	-7	-6	-6	-6	-6	-6	-6	-6	-6	-6
Qinhuangdao	-4	-5	-6	-6	-7	-7	-7	-7	-7	-7	-7	-7	-7	-6	-6	-6	-6	-5	-5	-5	-5	-5	-5	-5	-5
Baotou	-5	-6	-6	-6	-6	-6	-7	-7	-7	-7	-6	-7	-6	-6	-6	-6	-6	-6	-6	-6	-7	-7	-7	-7	-7
Dadong	-4	-4	-5	-5	-5	-6	-6	-6	-6	-6	-6	-6	-6	-5	-5	-5	-4	-4	-4	-4	-3	-3	-3	-2	-2
Jinzhou	-2	-3	-3	-4	-5	-5	-6	-5	-5	-5	-5	-5	-5	-4	-4	-4	-4	-3	-3	-3	-3	-3	-3	-3	-3
Jilin	-2	-4	-4	-3	-4	-4	-5	-5	-5	-5	-6	-6	-5	-4	-5	-5	-4	-4	-4	-4	-3	-3	-3	-2	-1
Mudanjiang	-4	-5	-6	-7	-7	-7	-7	-7	-7	-7	-7	-7	-7	-6	-5	-4	-4	-3	-3	-2	-2	-2	-2	-1	-1
Wuxi	-4	-4	-4	-3	-4	-4	-4	-4	-4	-3	-5	-4	-4	-4	-4	-4	-4	-4	-4	-4	-4	-5	-5	-5	-5
Yangzhou	-5	-6	-7	-7	-9	-6	-8	-8	-7	-6	-6	-6	-6	-6	-6	-6	-6	-6	-5	-5	-5	-5	-5	-5	-5
Xuzhou	-7	-8	-9	-10	-7	-9	-7	-6	-6	-6	-6	-6	-6	-5	-5	-4	-4	-5	-5	-5	-5	-5	-5	-5	-5
Wenzhou	-5	-6	-7	-9	-10	-11	-11	-11	-10	-10	-9	-9	-8	-8	-7	-6	-4	-4	-4	-4	-4	-5	-4	-4	-4
Jinhua	-8	-8	-9	-9	-10	-11	-12	-12	-11	-10	-10	-8	-8	-7	-6	-5	-4	-3	-3	-3	-3	-4	-4	-4	-4
Bengbu	-4	-5	-5	-6	-6	-7	-7	-7	-7	-7	-6	-6	-6	-6	-5	-5	-5	-4	-4	-3	-3	-4	-4	-4	-4
Anqing	-6	-6	-6	-7	-8	-8	-7	-7	-7	-6	-6	-6	-5	-5	-5	-4	-4	-4	-4	-4	-3	-4	-4	-3	-3
Quanzhou	-1	-2	-3	-4	-6	-7	-7	-8	-8	-8	-8	-8	-7	-6	-5	-5	-3	-2	-3	-2	-2	-3	-3	-4	-4
Jiujiang	-6	-7	-8	-9	-9	-8	-8	-8	-8	-8	-7	-7	-6	-5	-3	-3	-3	-4	-4	-4	-4	-4	-4	-4	-4
Ganzhou	-5	-5	-6	-6	-7	-7	-7	-6	-6	-5	-5	-5	-5	-4	-3	-2	-2	-2	-2	-2	-3	-4	-4	-4	-5
Yantai	-4	-5	-5	-6	-6	-7	-7	-6	-6	-6	-6	-6	-5	-4	-5	-4	-4	-4	-4	-4	-4	-4	-4	-4	-4
Jining	-4	-5	-6	-6	-7	-7	-7	-6	-6	-5	-5	-5	-5	-4	-4	-4	-4	-3	-4	-4	-5	-5	-5	-5	-5
Luoyang	-4	-4	-5	-6	-6	-7	-7	-7	-6	-6	-6	-6	-6	-6	-5	-4	-4	-3	-3	-3	-4	-4	-4	-5	-5
Pingdingshan	-3	-3	-3	-3	-3	-3	-3	-2	-2	-1	-1	-1	-1	-1	-1	-1	-1	0	-1	-1	-1	-2	-2	-2	-3
Yichang	-5	-5	-5	-4	-5	-5	-5	-5	-5	-5	-5	-4	-3	-2	-2	0	0	1	0	0	0	0	0	0	0
Xiangfan	-4	-5	-6	-6	-7	-7	-7	-7	-7	-7	-6	-5	-5	-5	-4	-4	-4	-3	-4	-4	-4	-5	-5	-5	-5
Yueyang	-5	-5	-6	-6	-6	-7	-7	-7	-7	-6	-6	-6	-6	-6	-5	-5	-4	-4	-5	-4	-5	-5	-5	-5	-5
Changde	-5	-7	-7	-8	-8	-9	-9	-9	-9	-8	-7	-7	-7	-5	-5	-4	-4	-3	-3	-4	-4	-5	-5	-5	-5
Huizhou	-7	-7	-7	-7	-8	-8	-7	-7	-7	-6	-6	-6	-5	-5	-4	-4	-3	-3	-3	-3	-4	-4	-5	-4	-5
Zhenjiang	-7	-8	-9	-10	-10	-10	-10	-8	-8	-7	-6	-5	-5	-4	-3	-2	-2	-2	-2	-3	-4	-4	-4	-5	-5
Shaoguan	-5	-7	-6	-7	-7	-7	-6	-6	-6	-6	-6	-6	-5	-5	-4	-3	-3	-3	-3	-2	-2	-2	-1	-2	-2
Gulin	-5	-5	-5	-4	-4	-4	-4	-4	-4	-4	-4	-4	-3	-3	-3	-3	-3	-3	-4	-4	-5	-5	-6	-6	-6
Beihai	-1	-2	-3	-3	-5	-4	-5	-5	-5	-5	-6	-7	-6	-7	-7	-7	-6	-5	-6	-6	-6	-6	-6	-6	-6
Sanya	0	-1	-1	-2	-3	-4	-4	-5	-4	-3	-3	-3	-3	-2	-2	-1	-1	0	0	-1	-1	-1	-1	-1	-1
Luzhou	-6	-7	-7	-7	-8	-9	-8	-8	-8	-8	-7	-7	-7	-6	-6	-6	-6	-5	-5	-5	-6	-6	-7	-7	-7
Nanchong	-2	-2	-3	-3	-4	-4	-4	-3	-3	-3	-3	-3	-3	-3	-3	-3	-2	-2	-2	-3	-4	-3	-3	-3	-4
Zunyi	-3	-2	-3	-4	-4	-4	-4	-4	-4	-4	-3	-3	-3	-3	-3	-3	-3	-3	-3	-3	-3	-3	-3	-3	-4
Dali	-3	-3	-3	-4	-5	-6	-6	-6	-6	-6	-6	-7	-7	-6	-6	-5	-4	-4	-4	-4	-4	-4	-4	-4	-4

Source: Bloomberg Finance L.P.

Demand: China residential property

Figure 16: China property prices MoM change (%)



Source: Bloomberg Finance L.P.

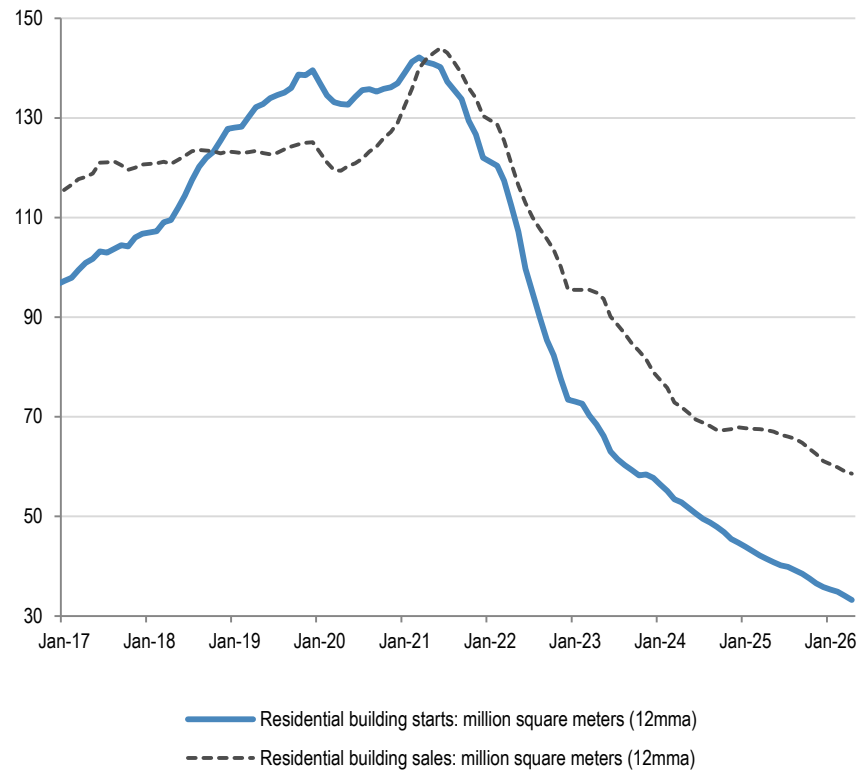
Figure 17: Hong Kong stock exchange China real estate index



Source: Bloomberg Finance L.P.

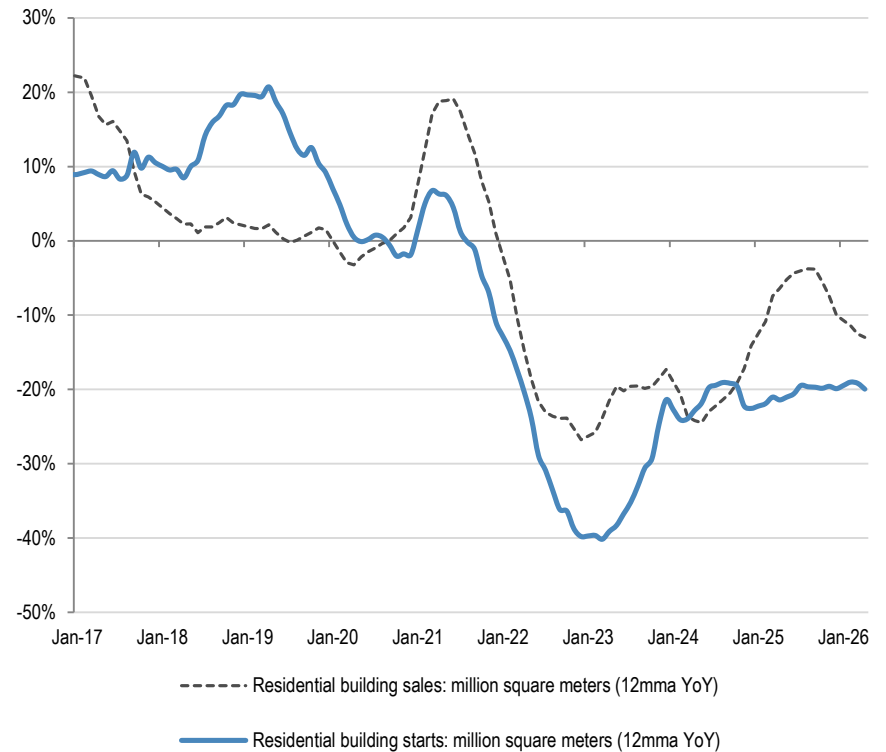
Demand: China residential property

Figure 18: China residential property starts and sales (million square meters 12mma)



Source: Bloomberg Finance L.P.

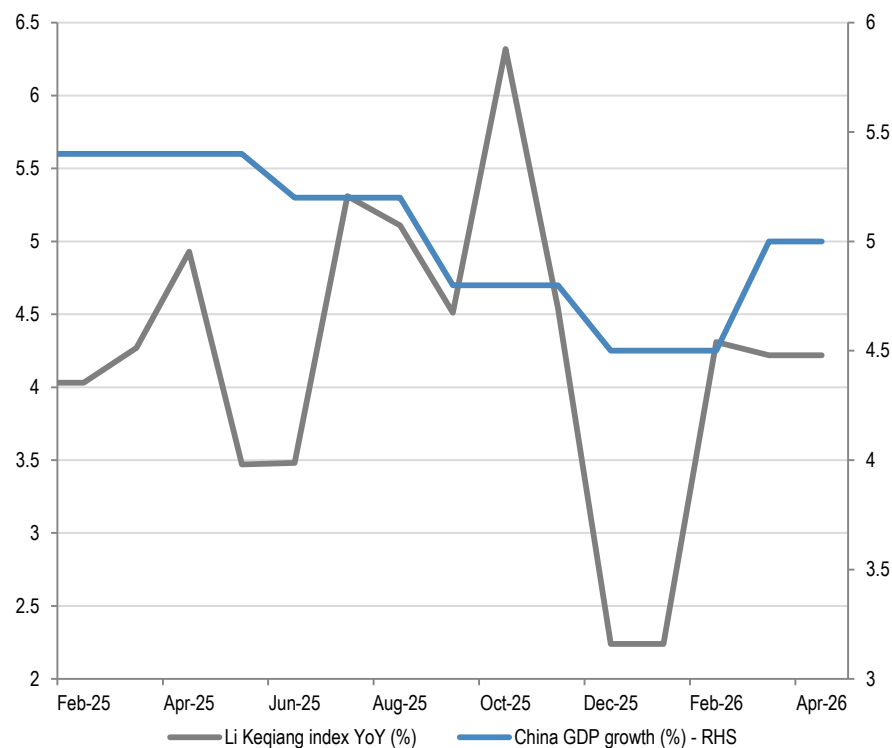
Figure 19: Residential property starts vs sales 12mma, YoY change



Source: Bloomberg Finance L.P.

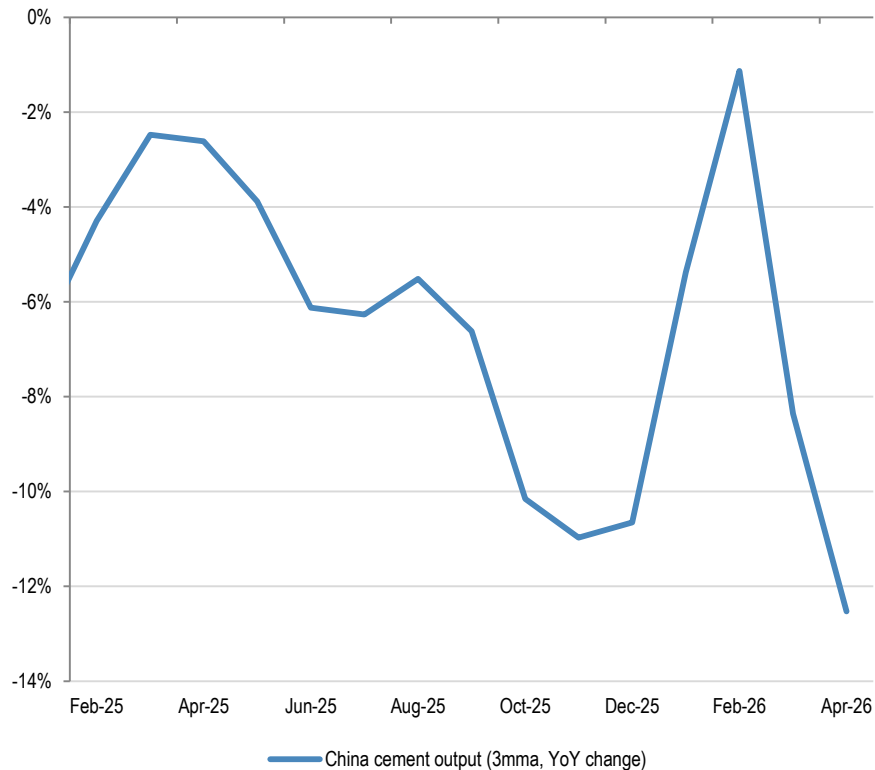
Demand: China GDP and cement output

Figure 20: China GDP growth (%)



Source: Bloomberg Finance L.P.

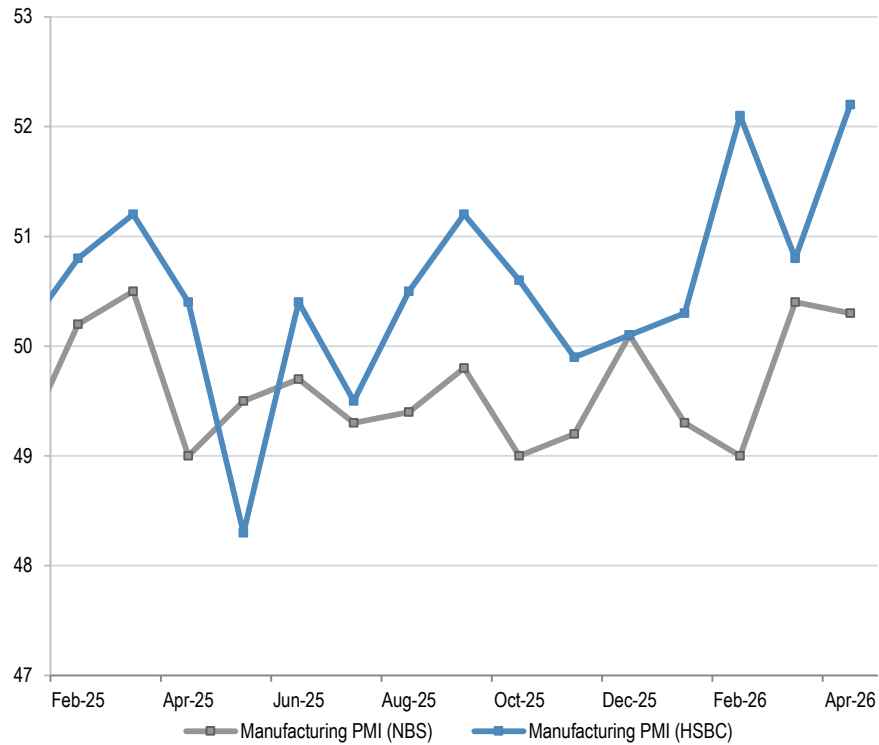
Figure 21: China cement output YoY change (%)



Source: Bloomberg Finance L.P.

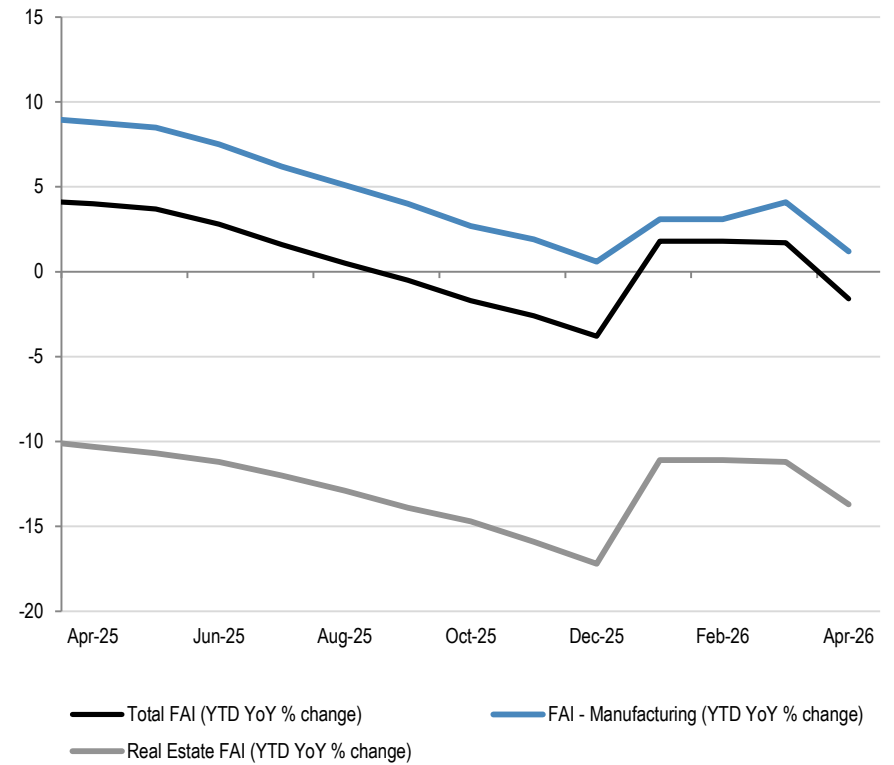
Demand: China PMI and FAI

Figure 22: China PMI



Source: Bloomberg Finance L.P.

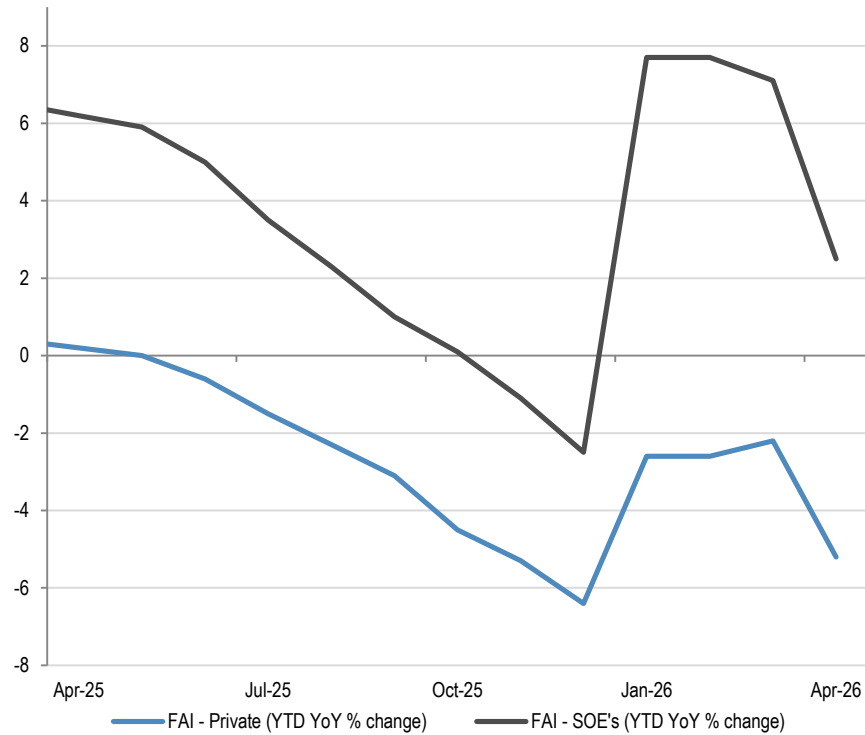
Figure 23: China FAI YoY change (%)



Source: Bloomberg Finance L.P.

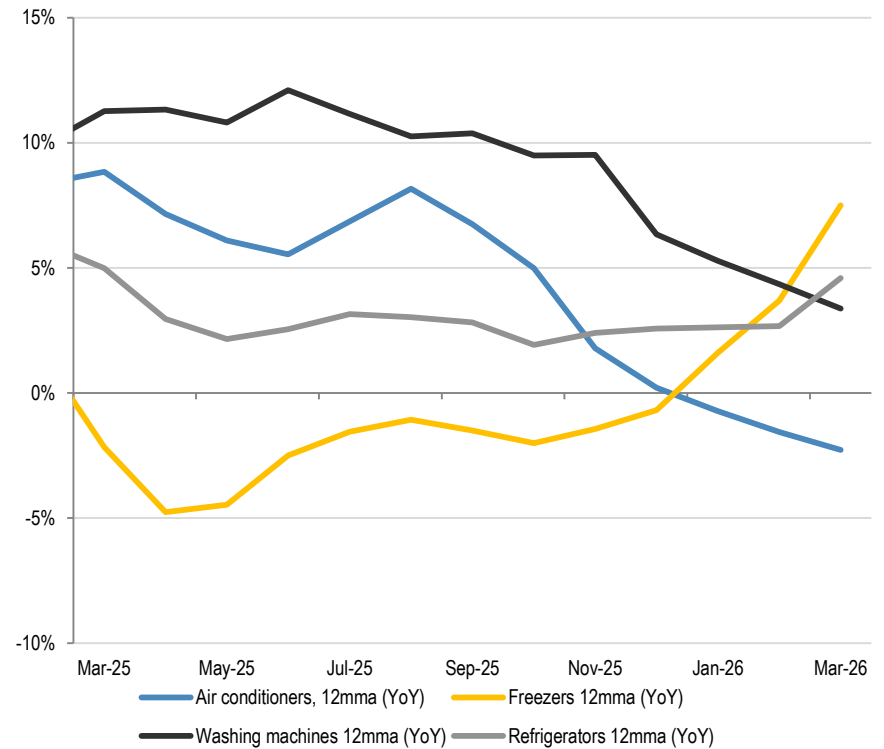
Demand: China FAI split and appliances output

Figure 24: China FAI – private vs SOE (%)



Source: Bloomberg Finance L.P.

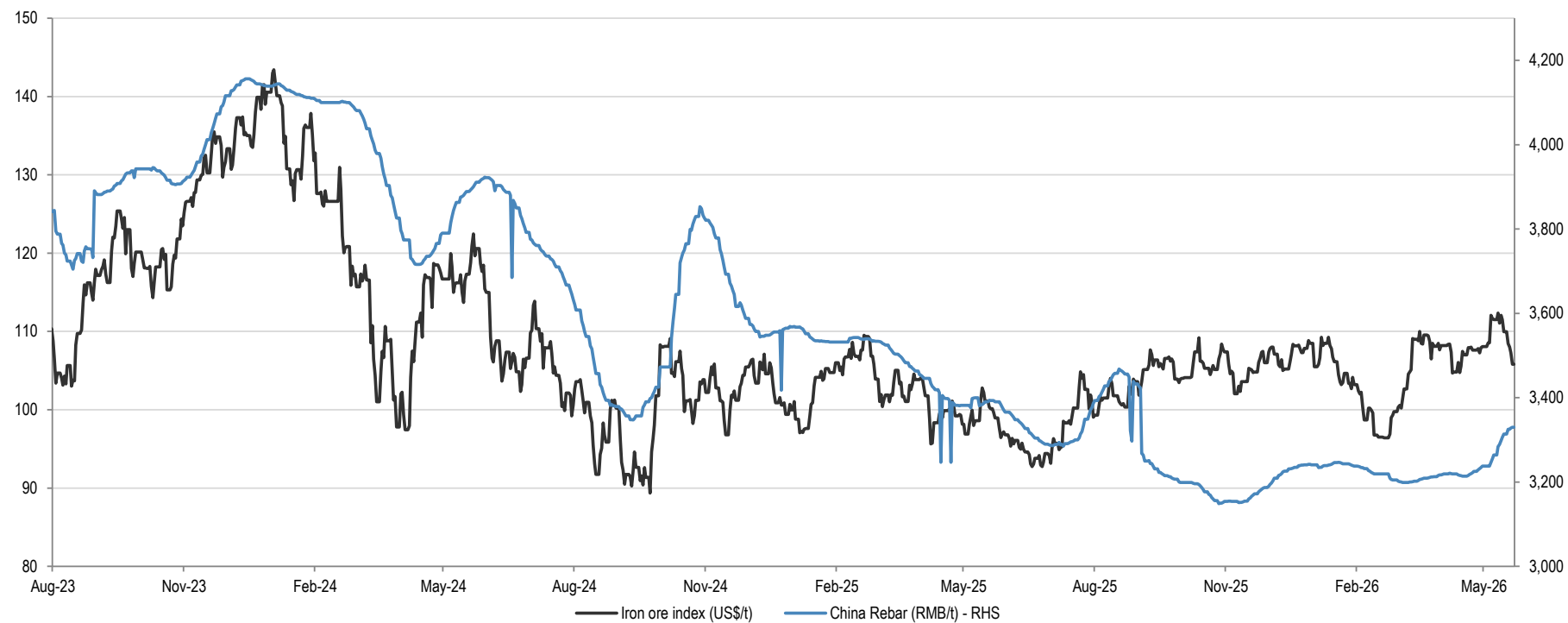
Figure 25: China appliances output



Source: Bloomberg Finance L.P.

Prices: Iron ore price vs China rebar

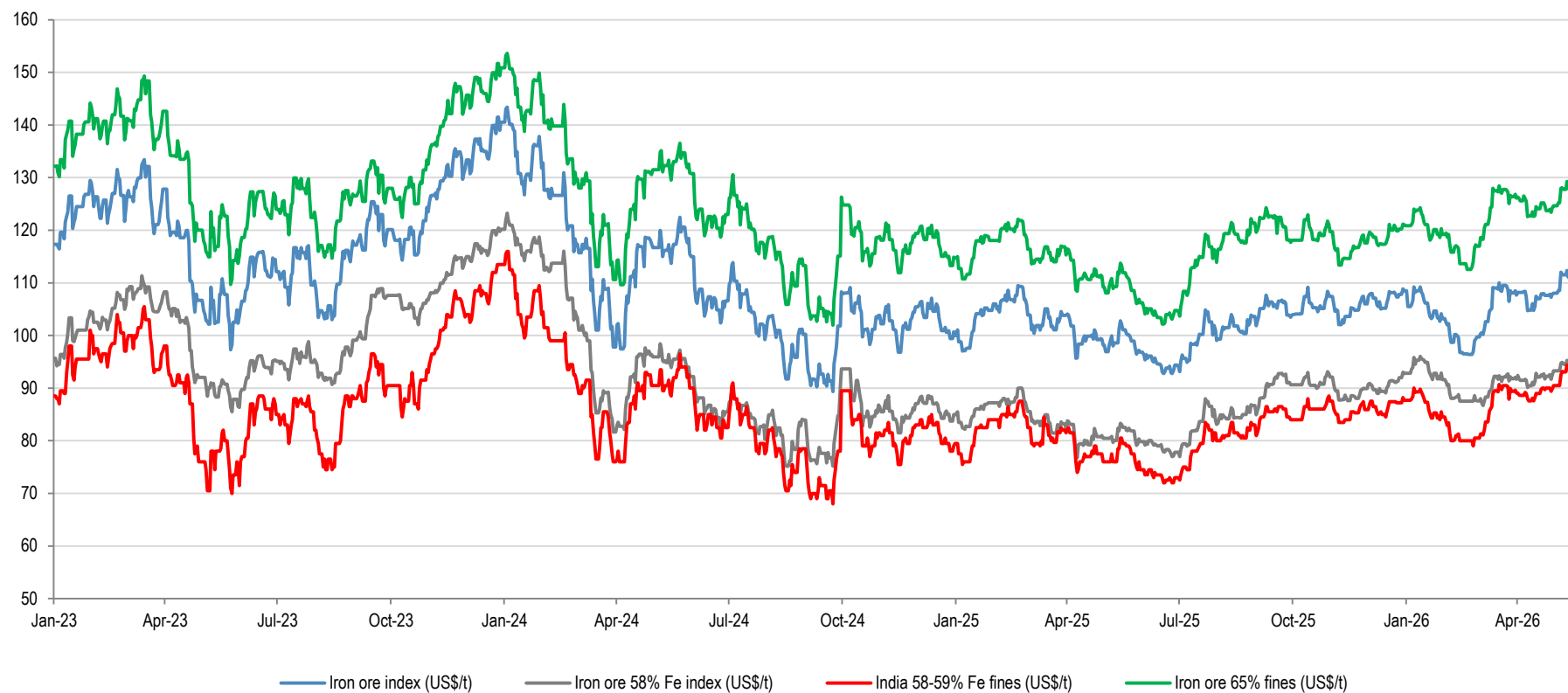
Figure 26: Iron ore (US\$/t) vs rebar (Rmb/t)



Source: Bloomberg Finance L.P.

Prices: 58% Fe vs 61% Fe vs 65% Fe index

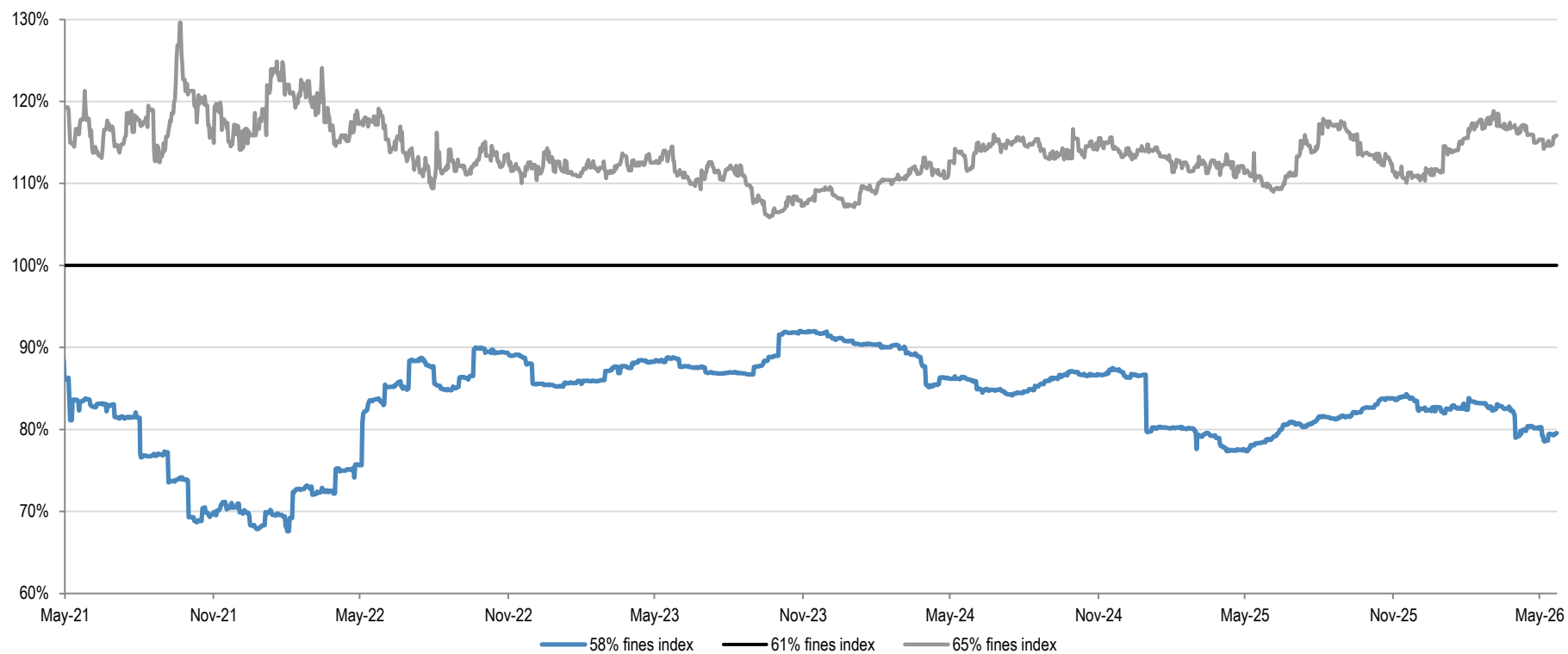
Figure 27: Iron ore price indices showing grade spread (US\$/t)



Source: Bloomberg Finance L.P.

Prices: 58% Fe vs 61% and 65% Fe index

Figure 28: Relative spread of 65% Fe and 58% Fe vs 61% Fe price (%)



Source: Bloomberg Finance L.P. Note 61% Fe index changed from 62% Fe in Jan'26

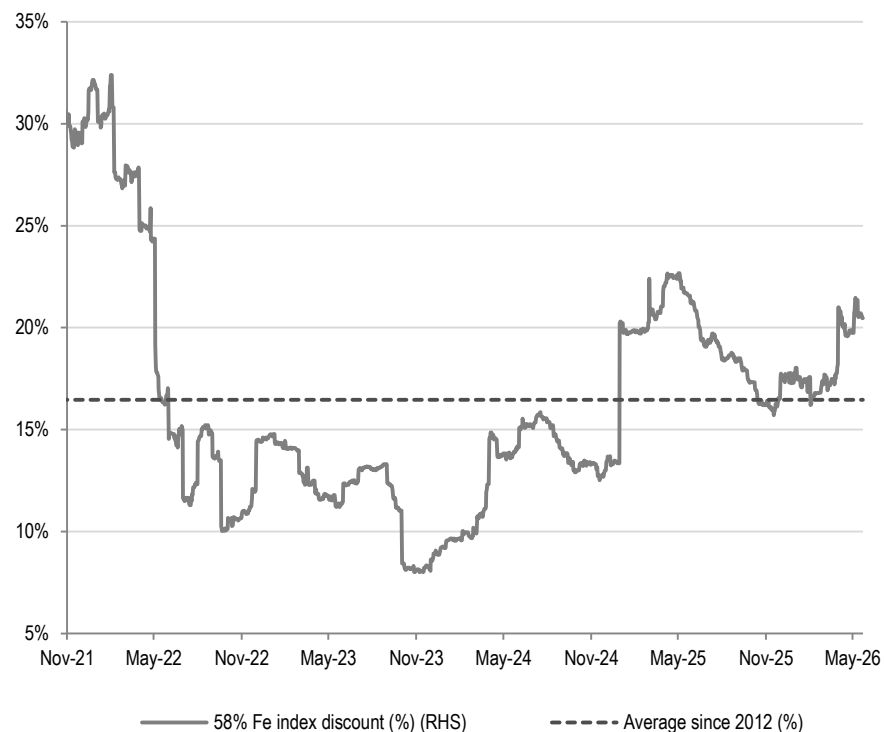
Prices: 58% Fe index discount averages

Figure 29: 61-58% Fe index spread (US\$/t)



Source: Bloomberg Finance L.P., J.P. Morgan calculations. Note 61% Fe index changed from 62% Fe in Jan'26

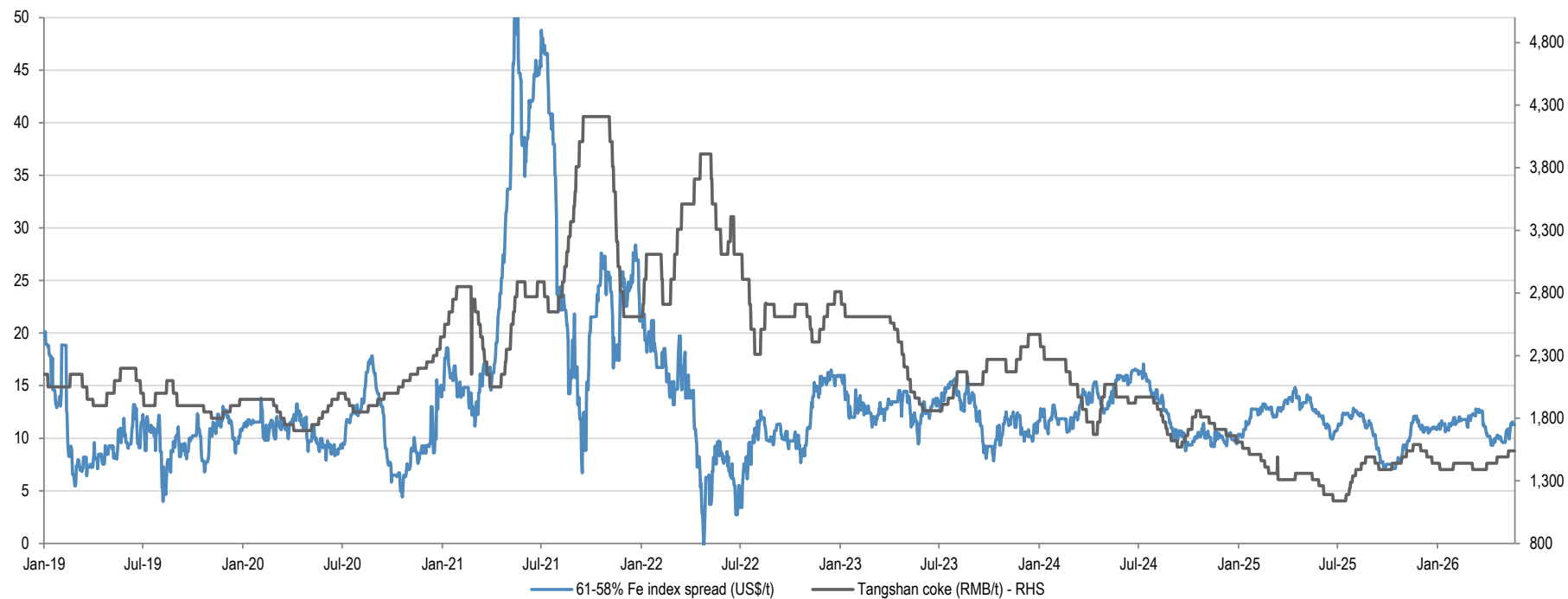
Figure 30: 61-58% Fe index spread (%)



Source: Bloomberg Finance L.P., J.P. Morgan calculations. Note 61% Fe index changed from 62% Fe in Jan'26

Prices: 58% Fe index discount vs coke

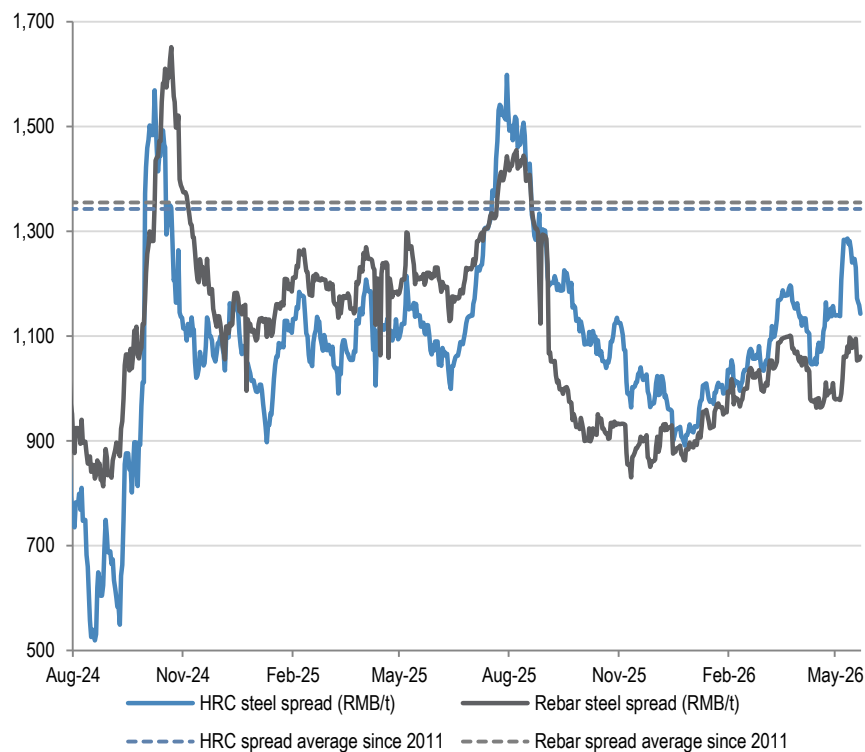
Figure 31: 58% index discount (US\$/t) vs coke (Rmb/t)



Source: Bloomberg Finance L.P., J.P. Morgan calculations.

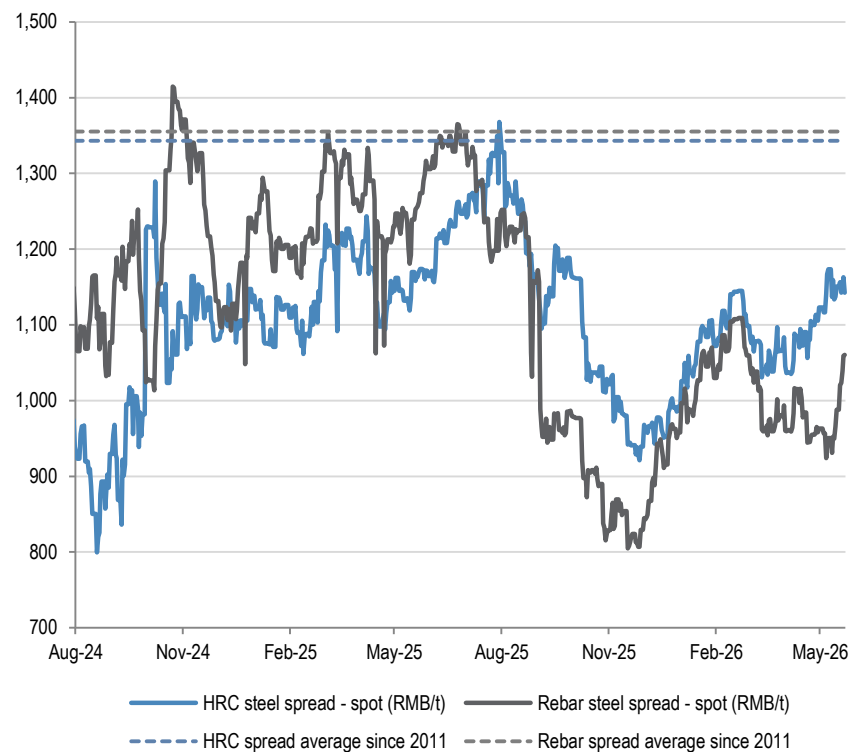
Prices: China steel margins

Figure 32: China steel spread – steel price less iron ore and met coal costs (Rmb/t); spot steel and one-month lag for iron ore and coal to reflect typical inventory cycle



Source: Bloomberg Finance L.P., J.P. Morgan calculations. Note: Spread uses imported iron ore and domestic coke price.

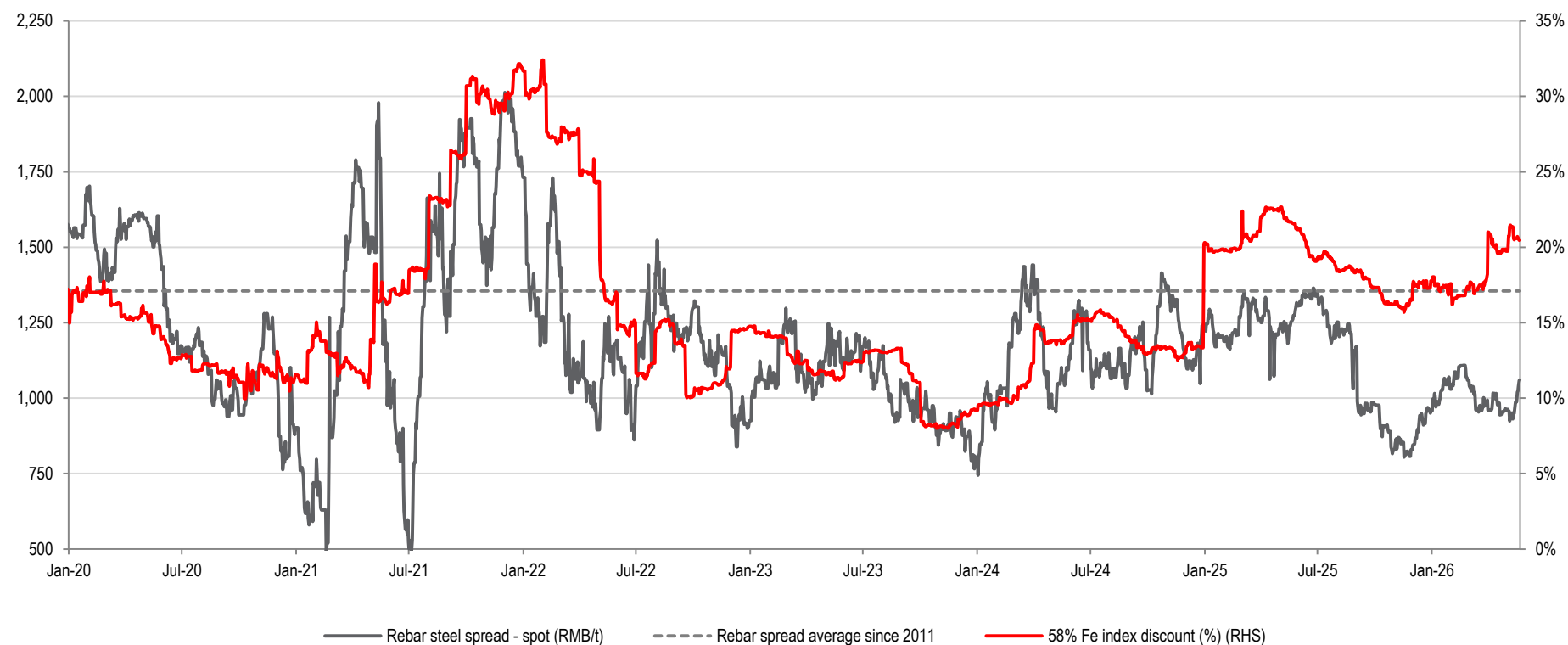
Figure 33: China steel spread (Rmb/t) – spot prices for all inputs



Source: Bloomberg Finance L.P., J.P. Morgan calculations. Note: Spread uses imported iron ore and domestic coke price.

Prices: China steel margins vs low-grade ore discount

Figure 34: China steel margins (Rmb/t) vs low-grade iron ore discount (%)

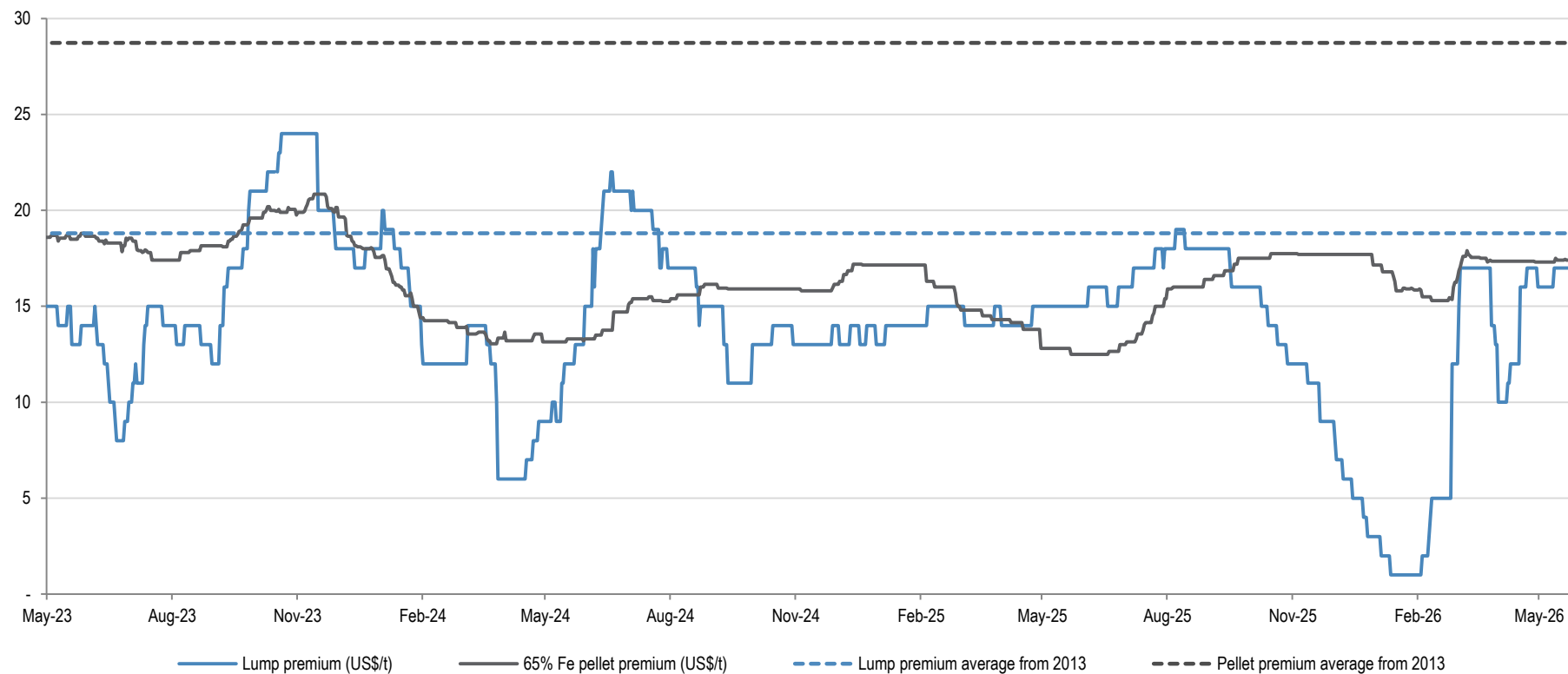


Source: Bloomberg Finance L.P., J.P. Morgan.

Prices: Lump and pellet premiums

Figure 35: Lump and pellet premiums (US\$/t)

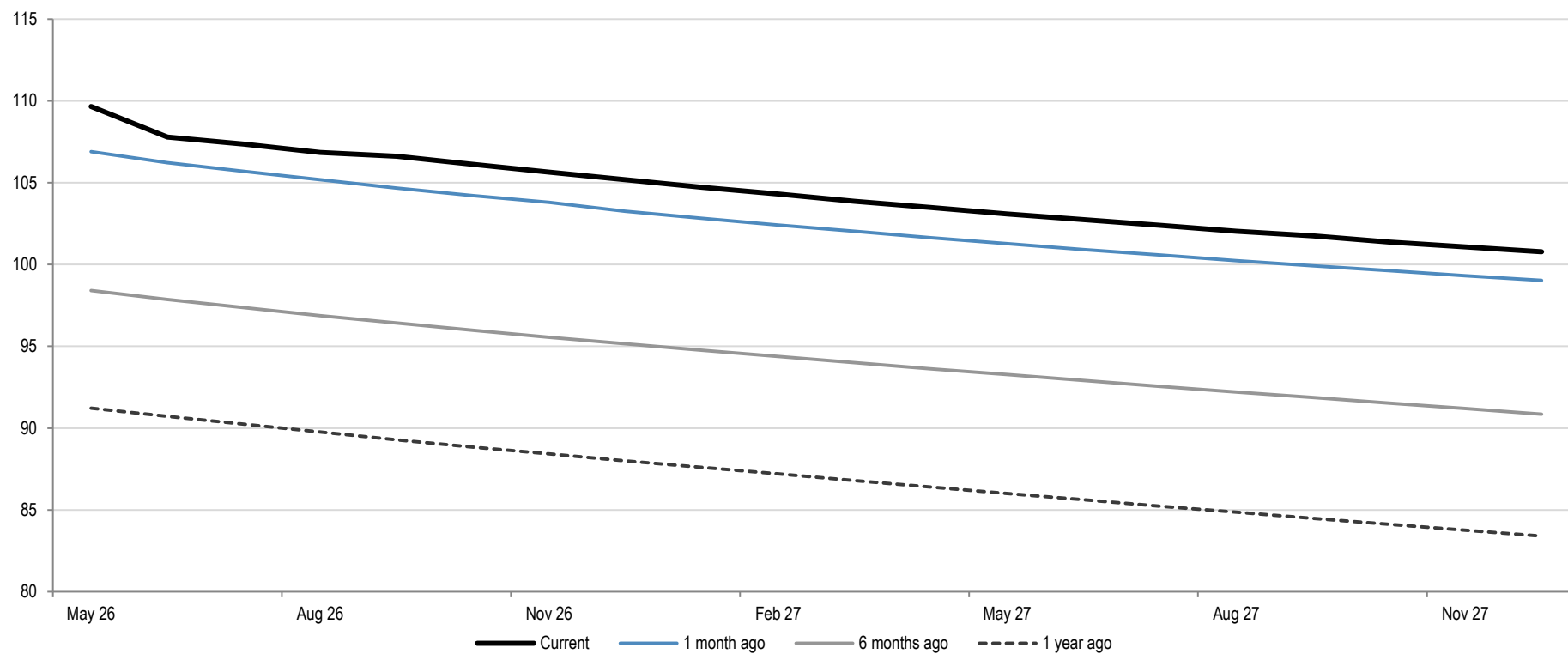
Lump premium at all time lows



Source: Bloomberg Finance L.P.

Prices: Iron ore forward curve changes

Figure 36: Iron ore forward curve (US\$/t)



Source: Bloomberg Finance L.P.

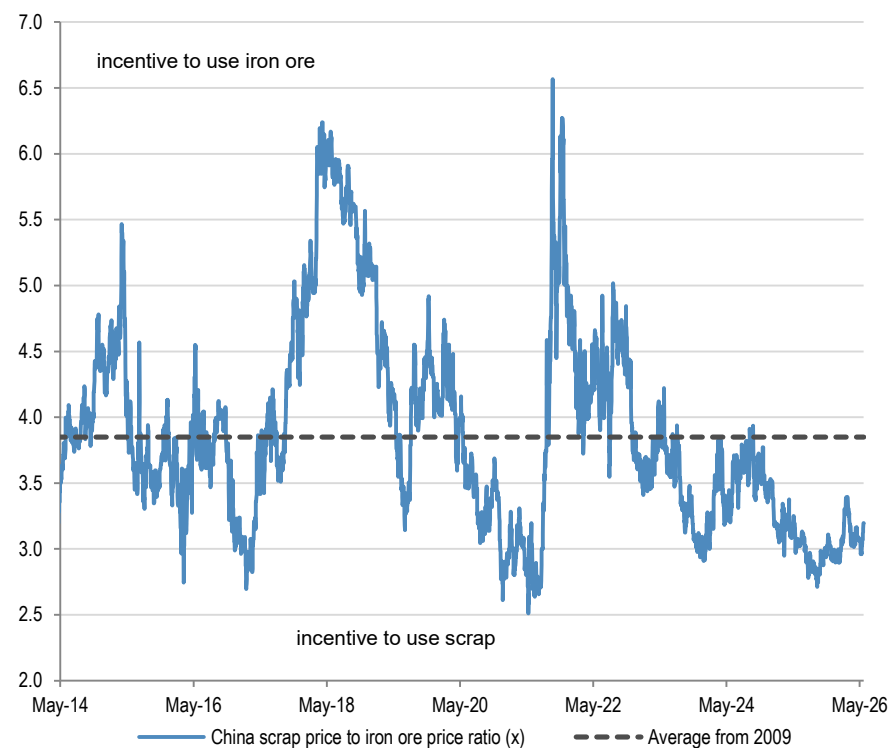
Prices: China domestic steel and iron ore prices

Figure 37: China steel prices (Rmb/t)



Source: Bloomberg Finance L.P.

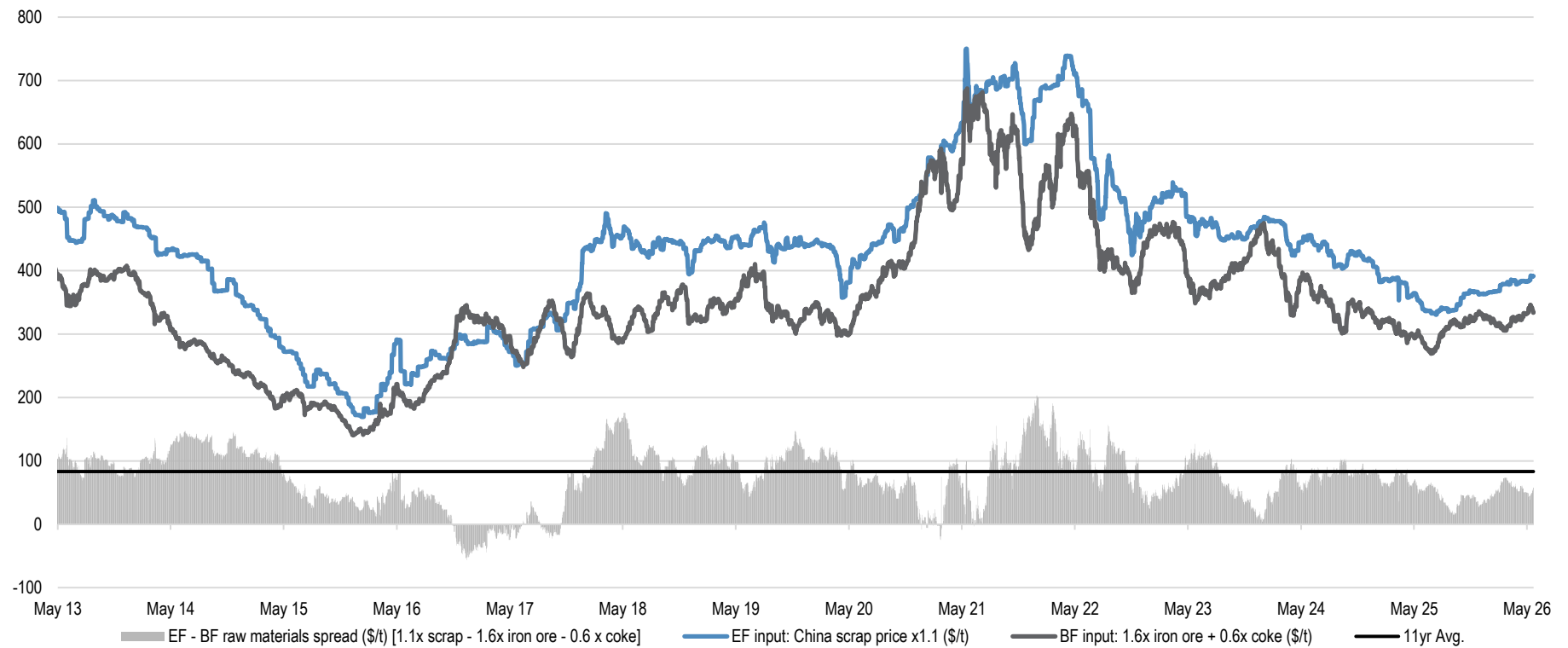
Figure 38: China scrap vs iron ore ratio



Source: Bloomberg Finance L.P.

Prices: Electric furnace vs blast furnace input costs

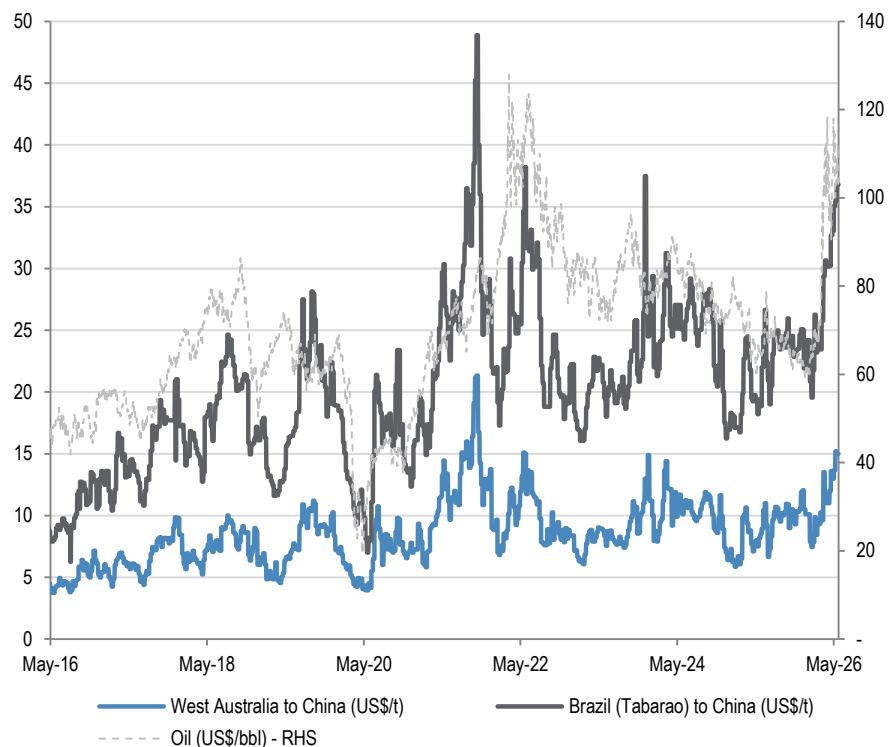
Figure 39: Blast furnace vs electric furnace raw material costs (\$/t)



Source: Bloomberg Finance L.P.

Prices: Freight rates and major producer currencies

Figure 40: Freight rates from Brazil and West Australia to China (US\$/t)



Source: Bloomberg Finance L.P.

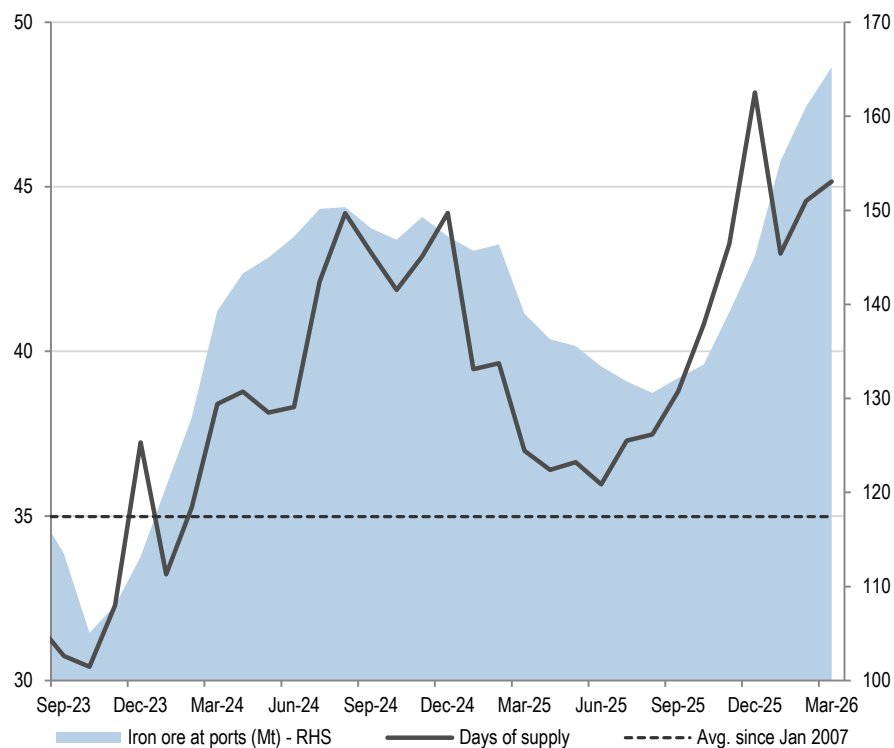
Figure 41: Currency



Source: Bloomberg Finance L.P.

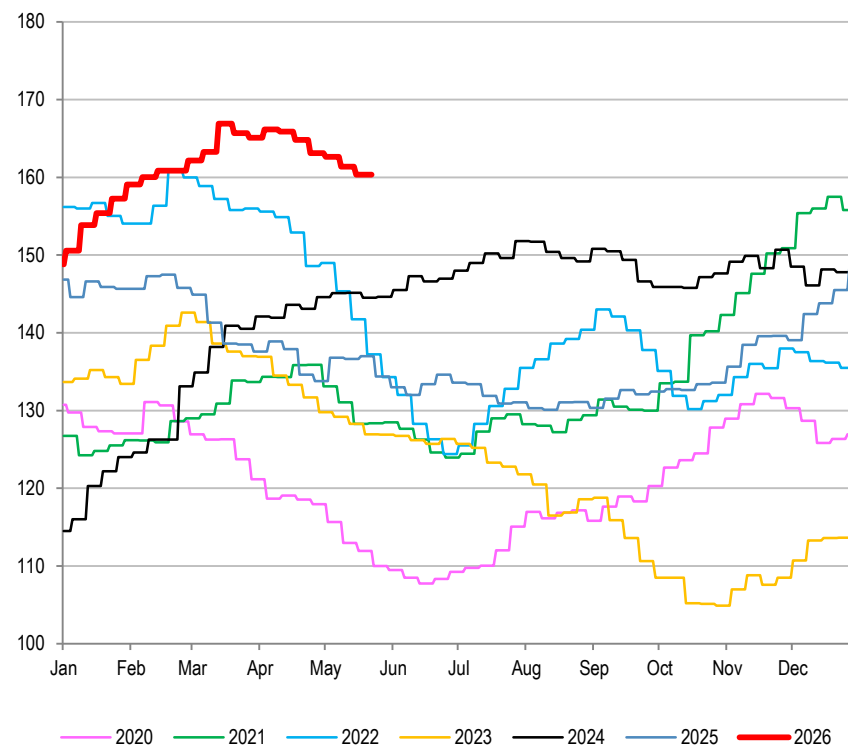
Prices: China iron ore inventory

Figure 42: China ports iron ore inventory – end of month (Mt)



Source: Bloomberg Finance L.P.

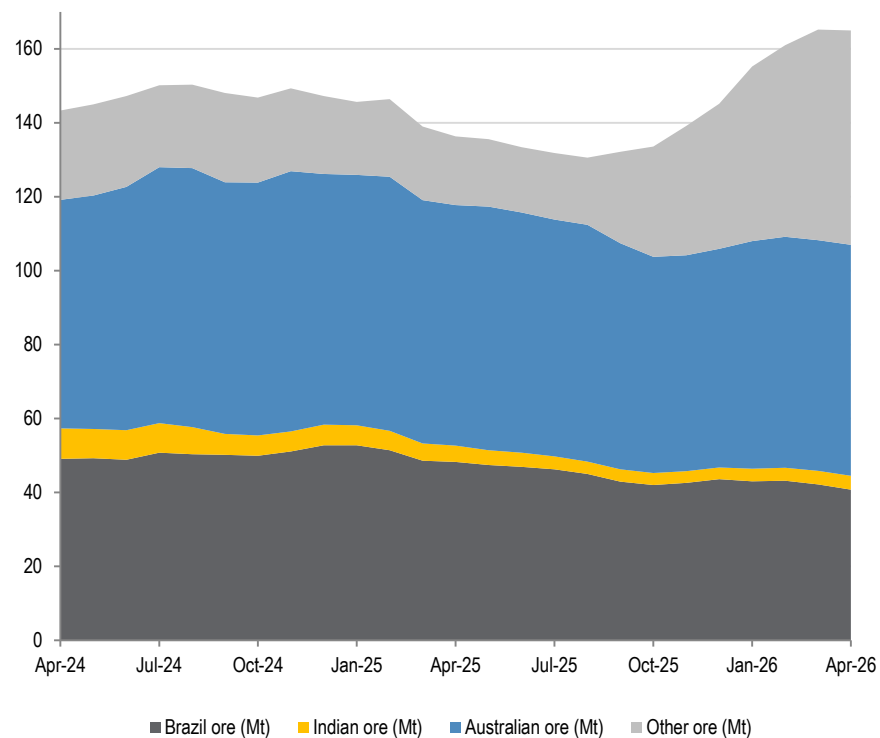
Figure 43: China port iron ore inventory seasonality (Mt)



Source: Bloomberg Finance L.P.

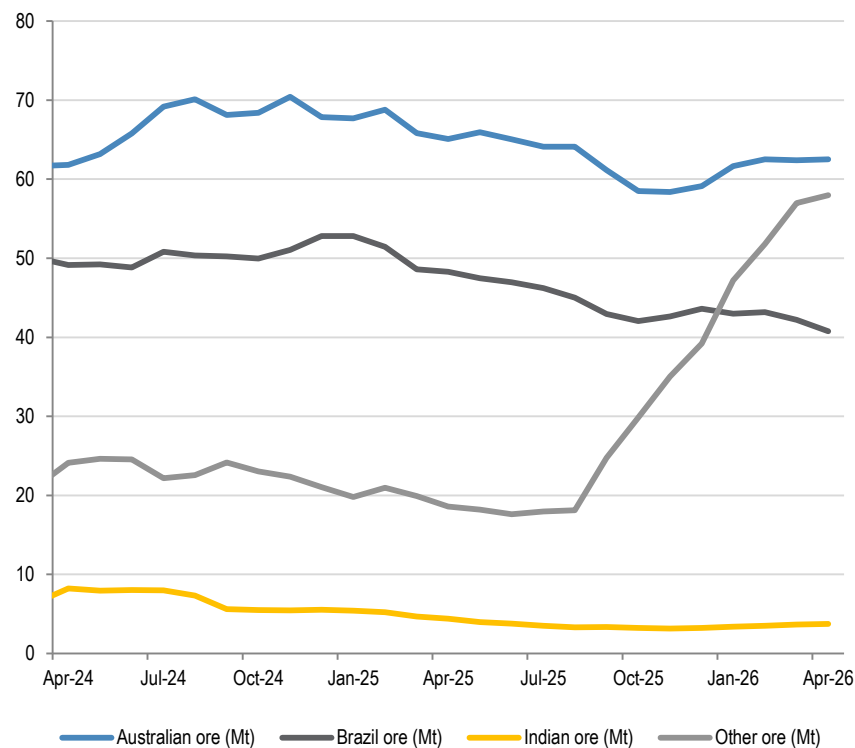
Prices: China port inventory composition

Figure 44: China iron ore port stock by source destination (Mt)



Source: Bloomberg Finance L.P.

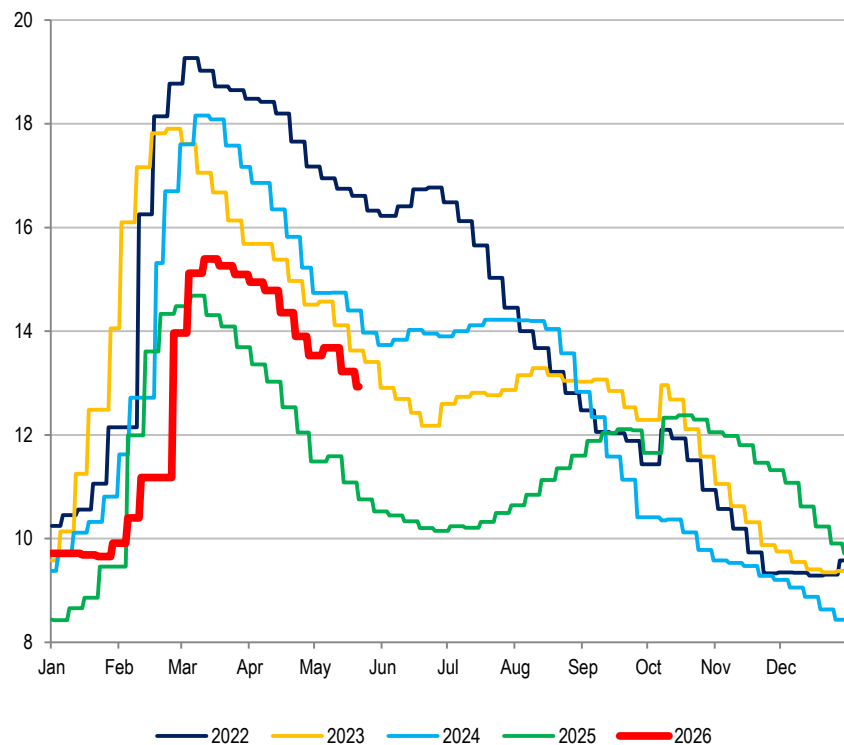
Figure 45: China iron ore port stock by source destination (Mt)



Source: Bloomberg Finance L.P.

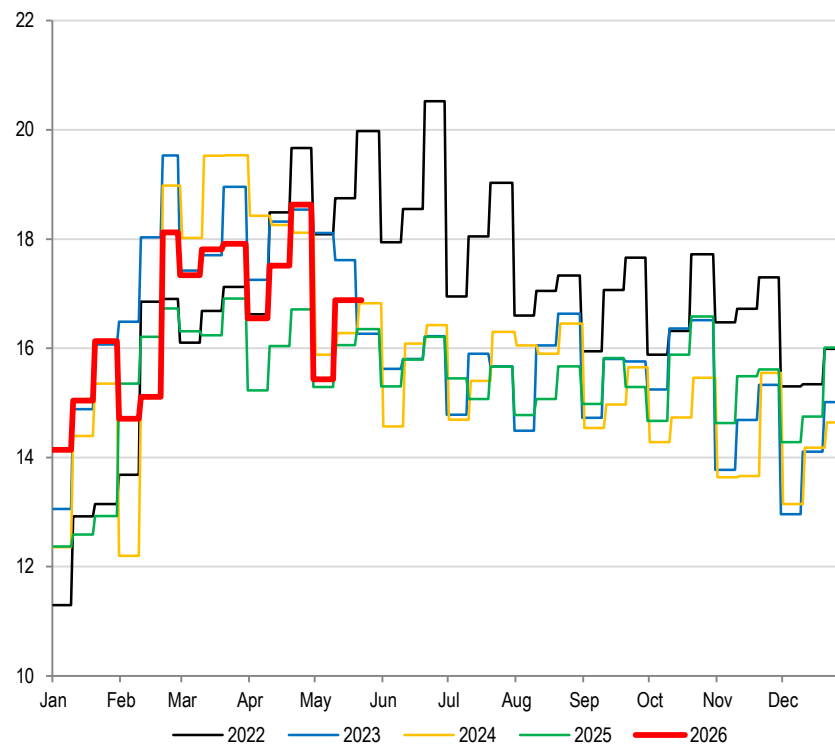
Prices: China steel inventory

Figure 46: China steel inventory at traders – SteelHome data (Mt)



Source: Bloomberg Finance L.P.

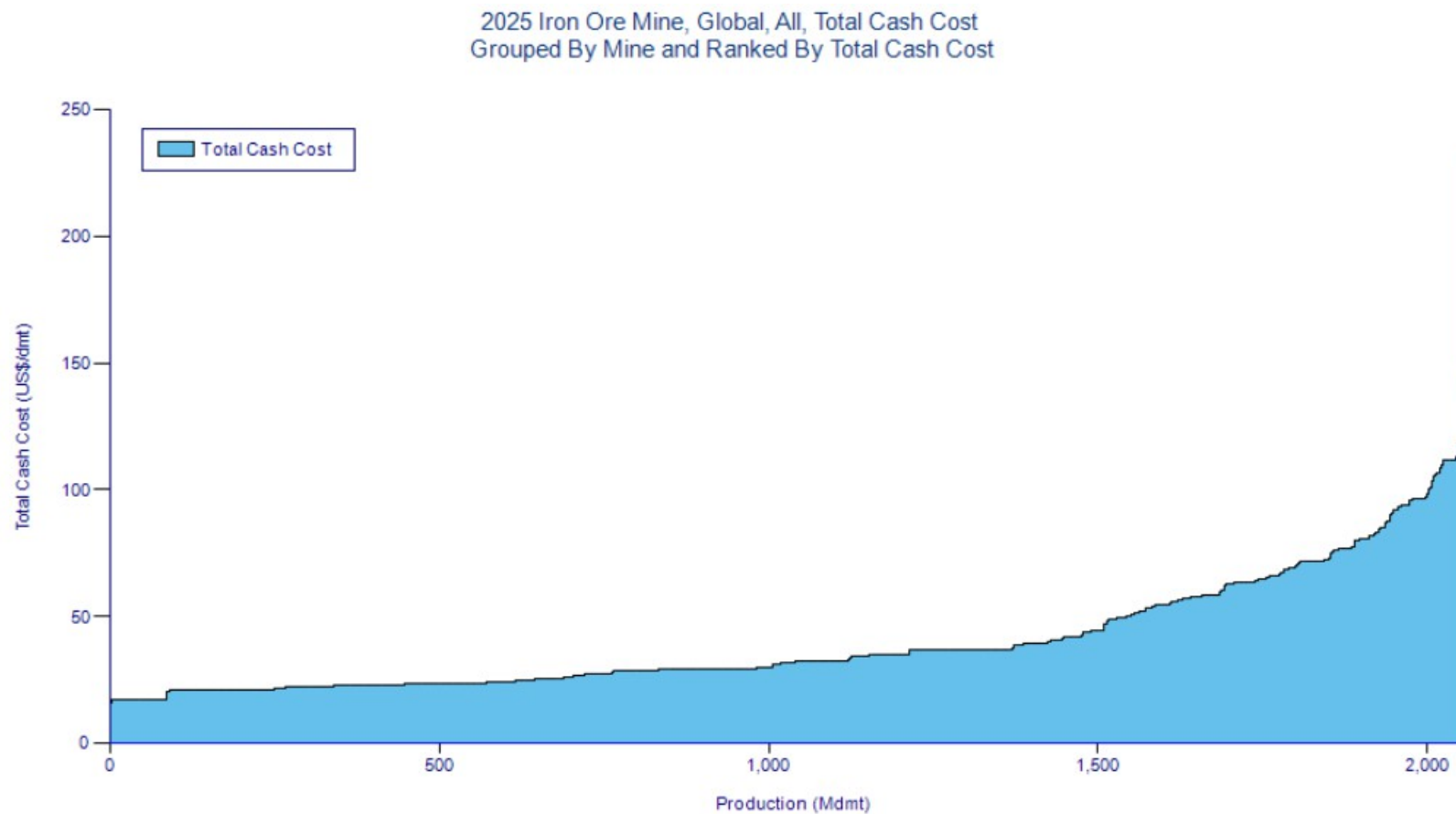
Figure 47: China steel inventory at CISA mills (Mt)



Source: CISA.

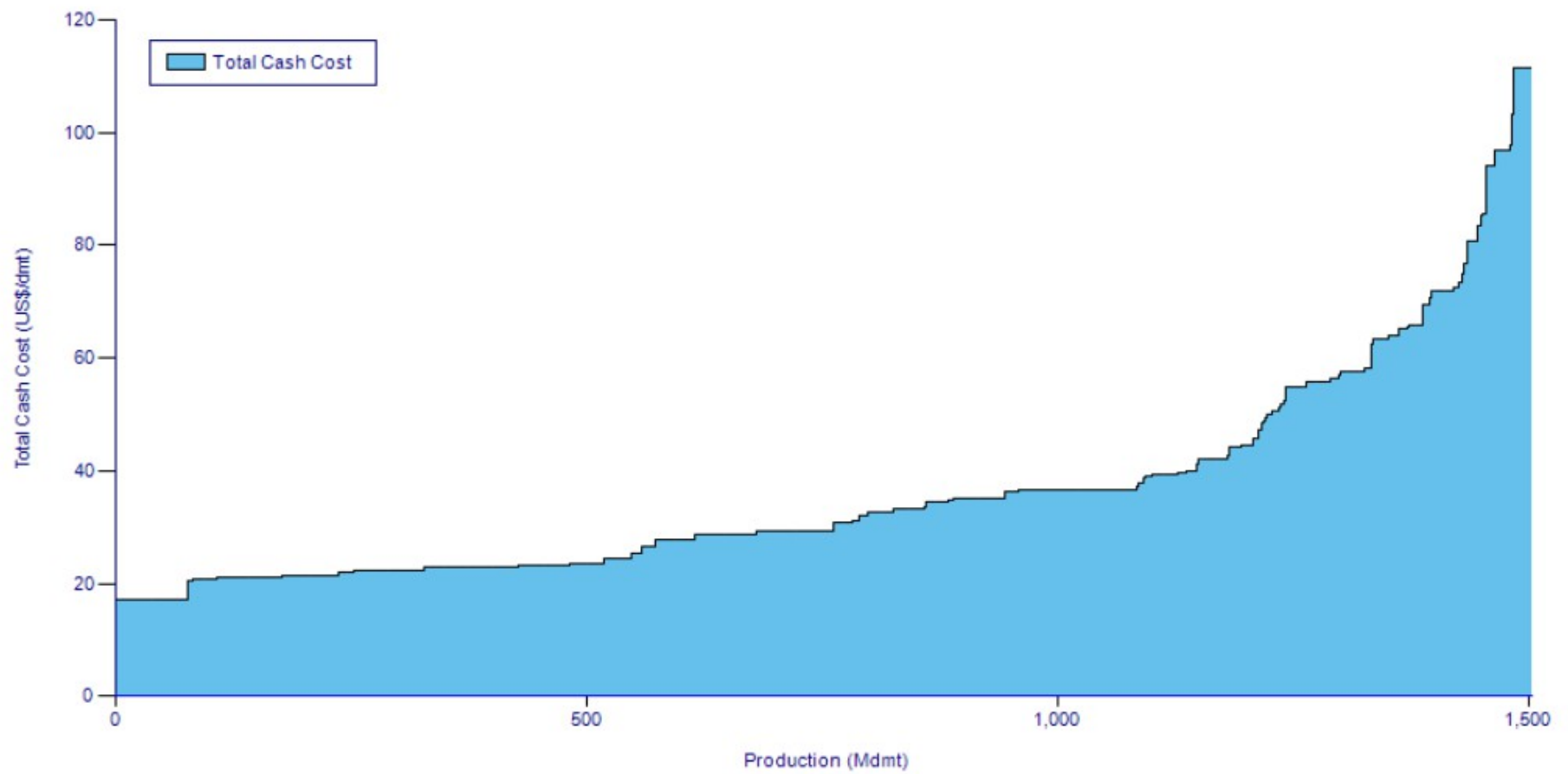
Prices: Global iron ore cost curve

Figure 48: Global iron ore cost curve – 2025



Source: Wood Mackenzie.

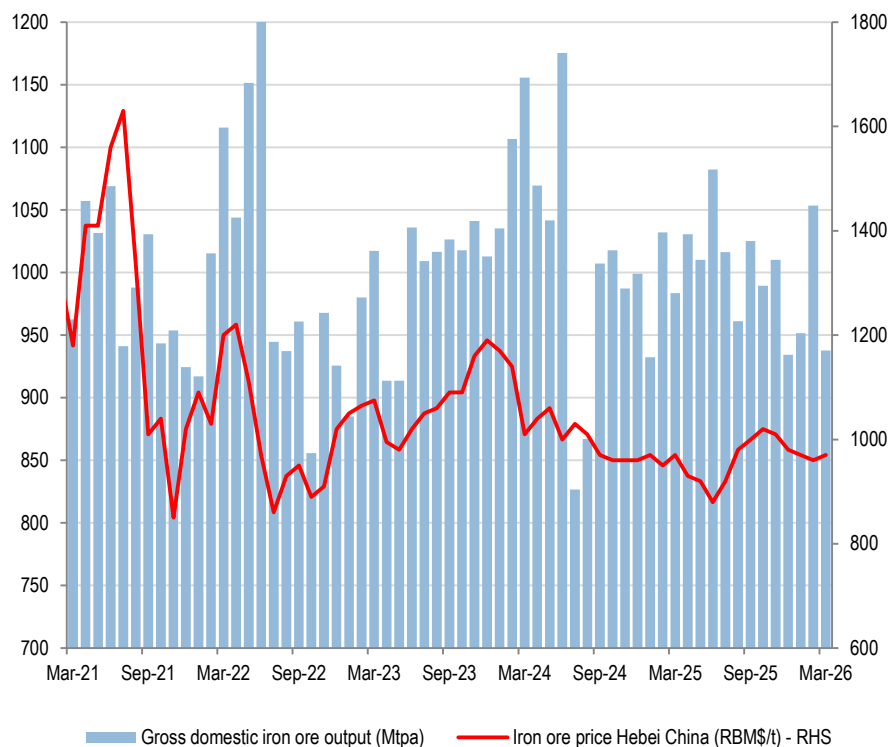
Figure 49: Seaborne iron ore cost curve – 2025



Source: Wood Mackenzie.

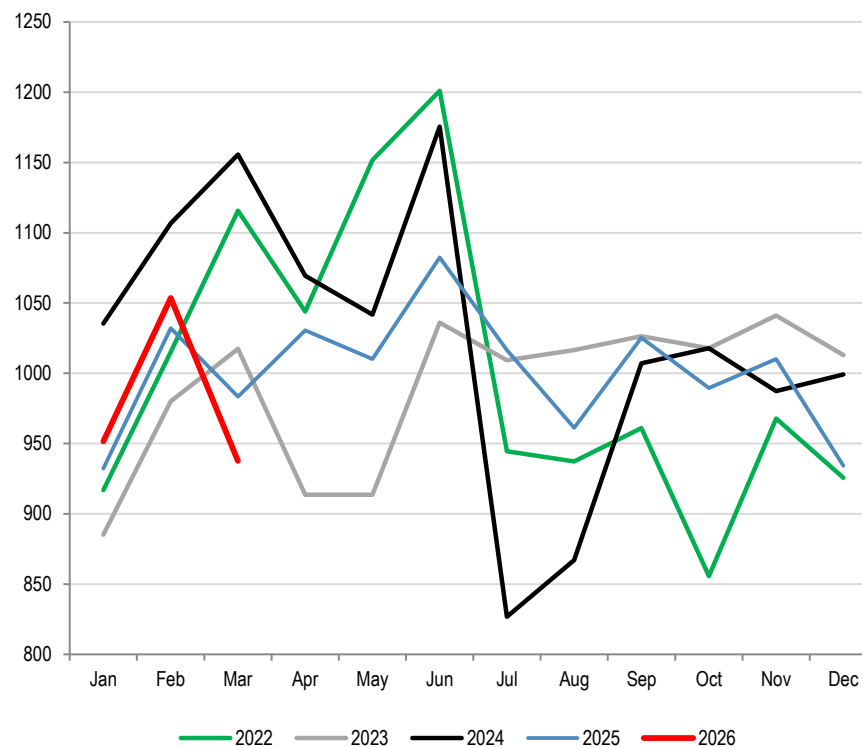
Supply: Chinese iron ore production

Figure 50: China iron ore production (Mtpa rate, grade unknown)



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

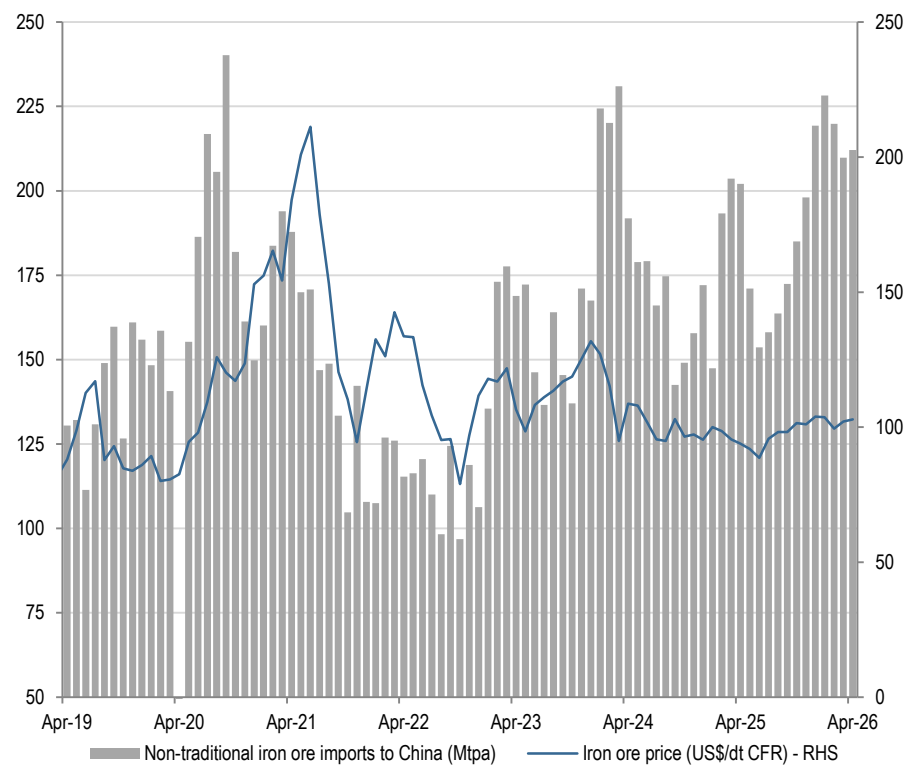
Figure 51: China iron ore production seasonality (Mtpa rate)



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

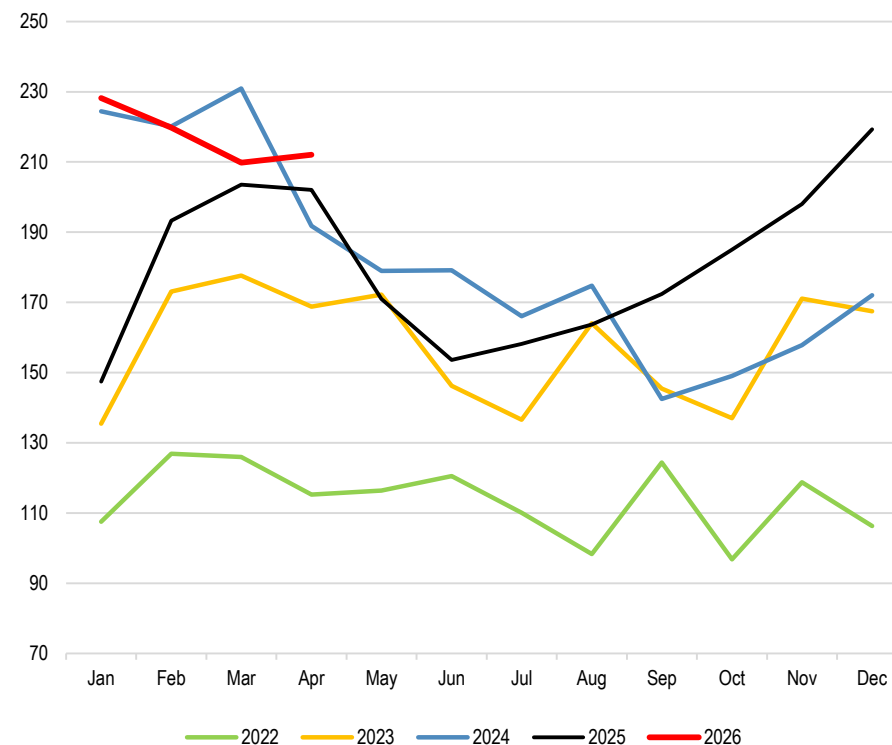
Supply: Non-traditional iron ore imports

Figure 52: Non-traditional iron ore imports to China (Mtpa)



Source: Bloomberg Finance L.P., J.P. Morgan.

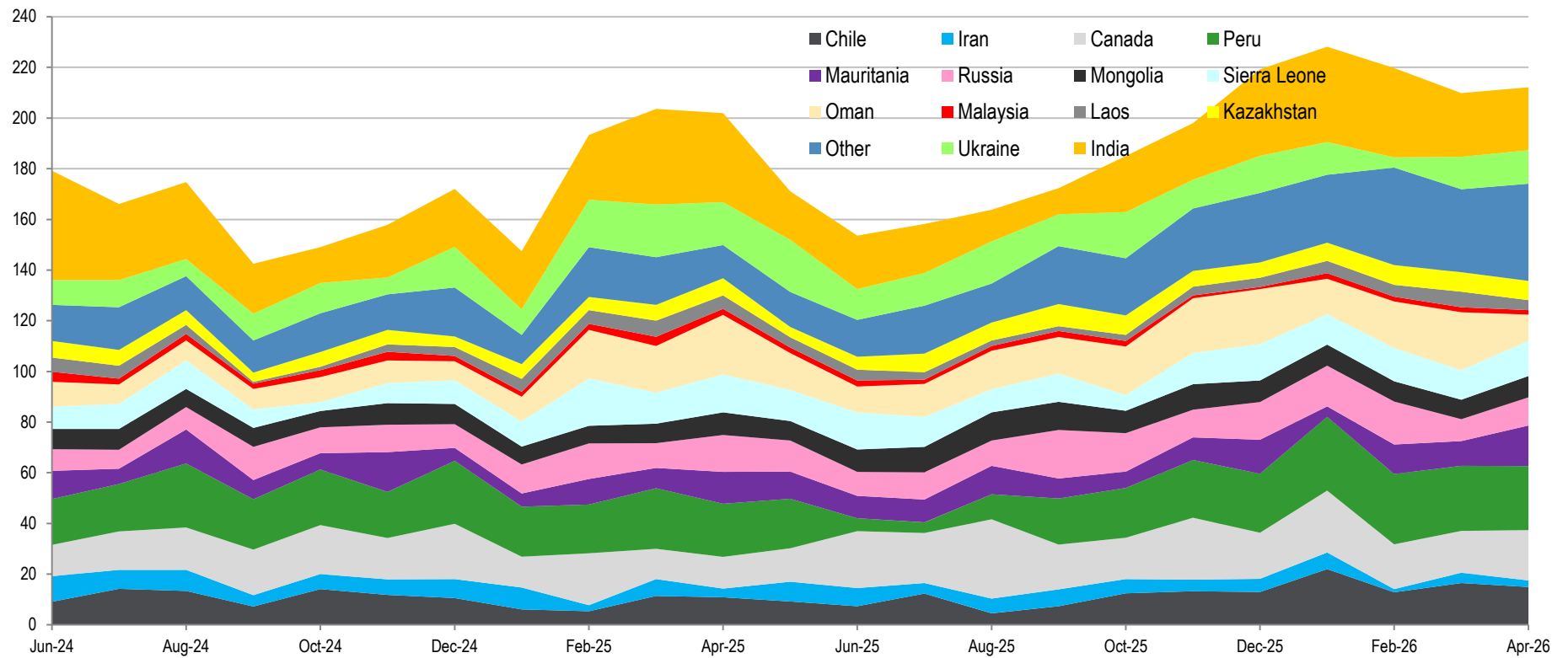
Figure 53: China non-traditional iron ore imports (Mtpa)



Source: Bloomberg Finance L.P.

Supply: Non-traditional iron ore imports

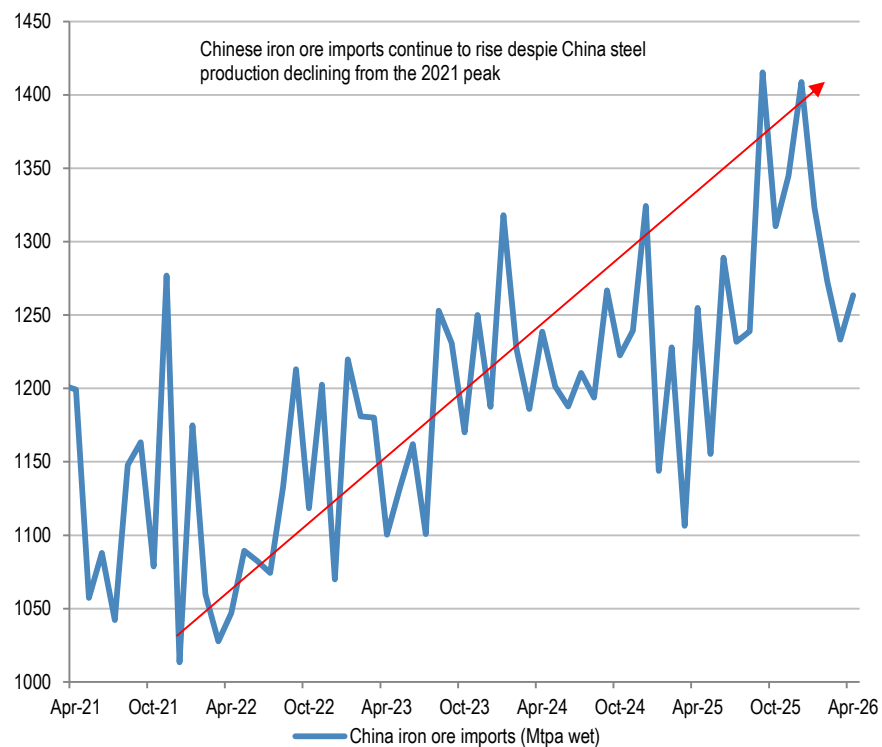
Figure 54: Iron ore imports by source (Mt)



Source: Bloomberg Finance L.P.

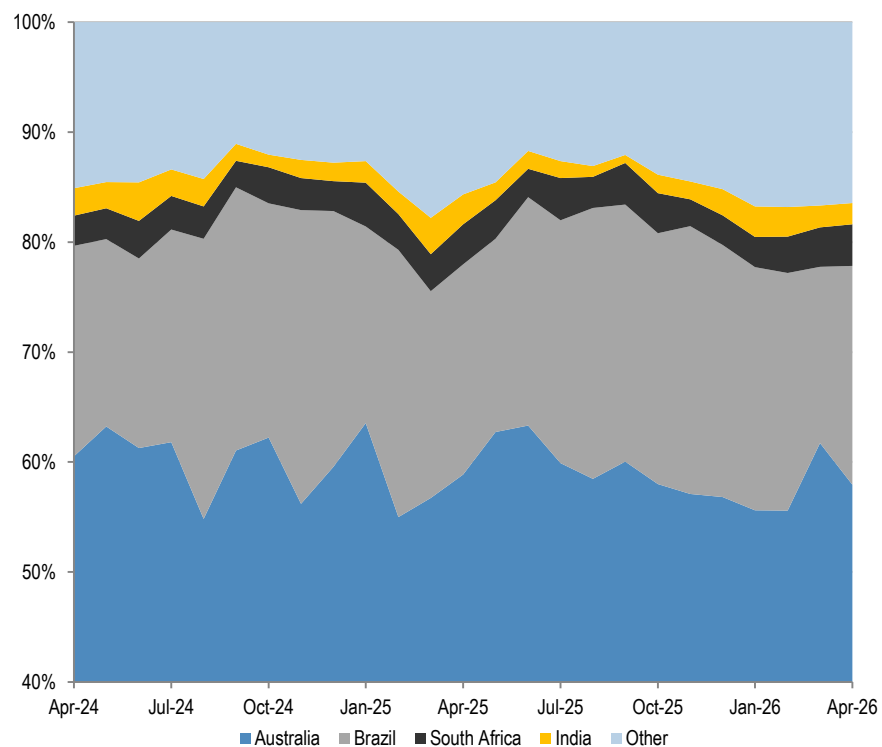
Supply: Chinese iron ore imports

Figure 55: China's iron ore imports (Mtpa)



Source: Bloomberg Finance L.P.

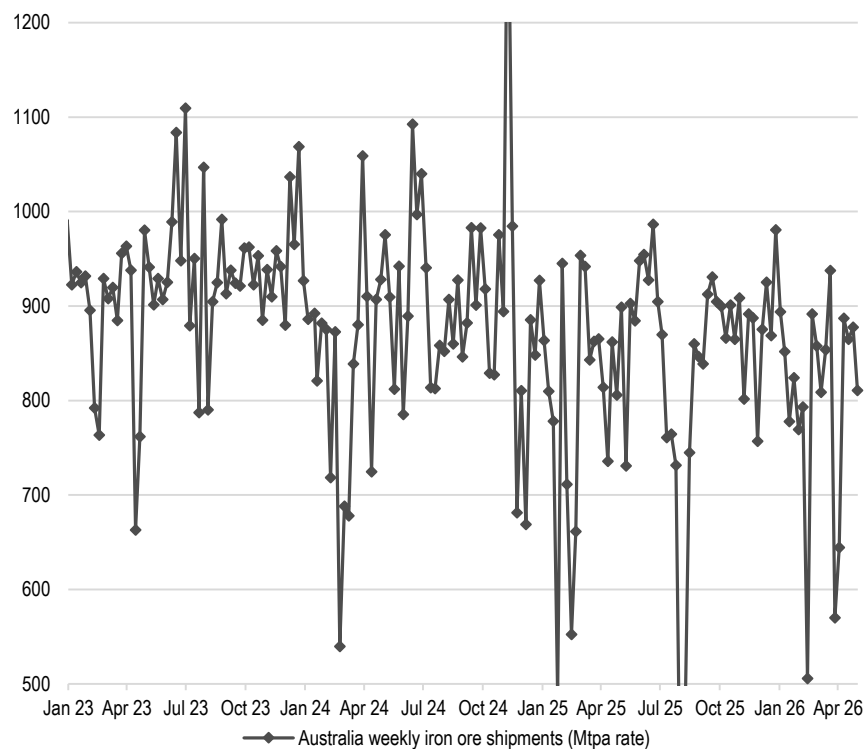
Figure 56: China's iron ore imports split



Source: Bloomberg Finance L.P.

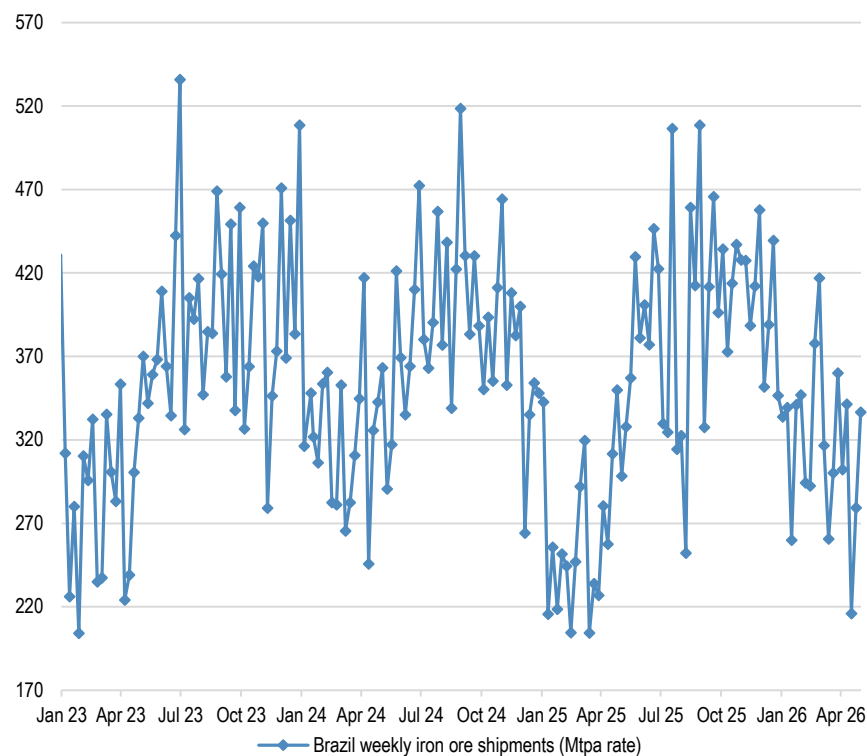
Supply: Australia and Brazil exports

Figure 57: Australian iron ore exports (Mtpa)



Source: Bloomberg Finance L.P.

Figure 58: Brazil iron ore exports (Mtpa)



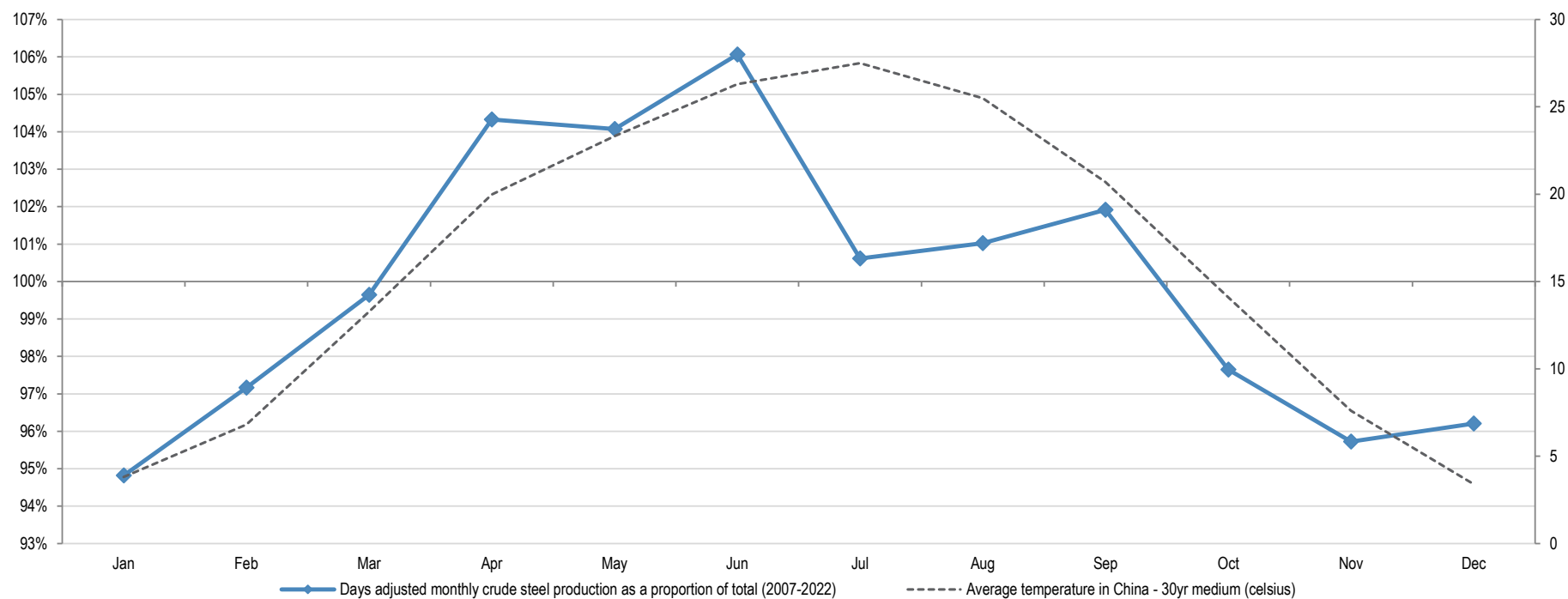
Source: Bloomberg Finance L.P.

Appendix

China steel production seasonality

Chinese steel production typically peaks around mid-year, in line with summer months.

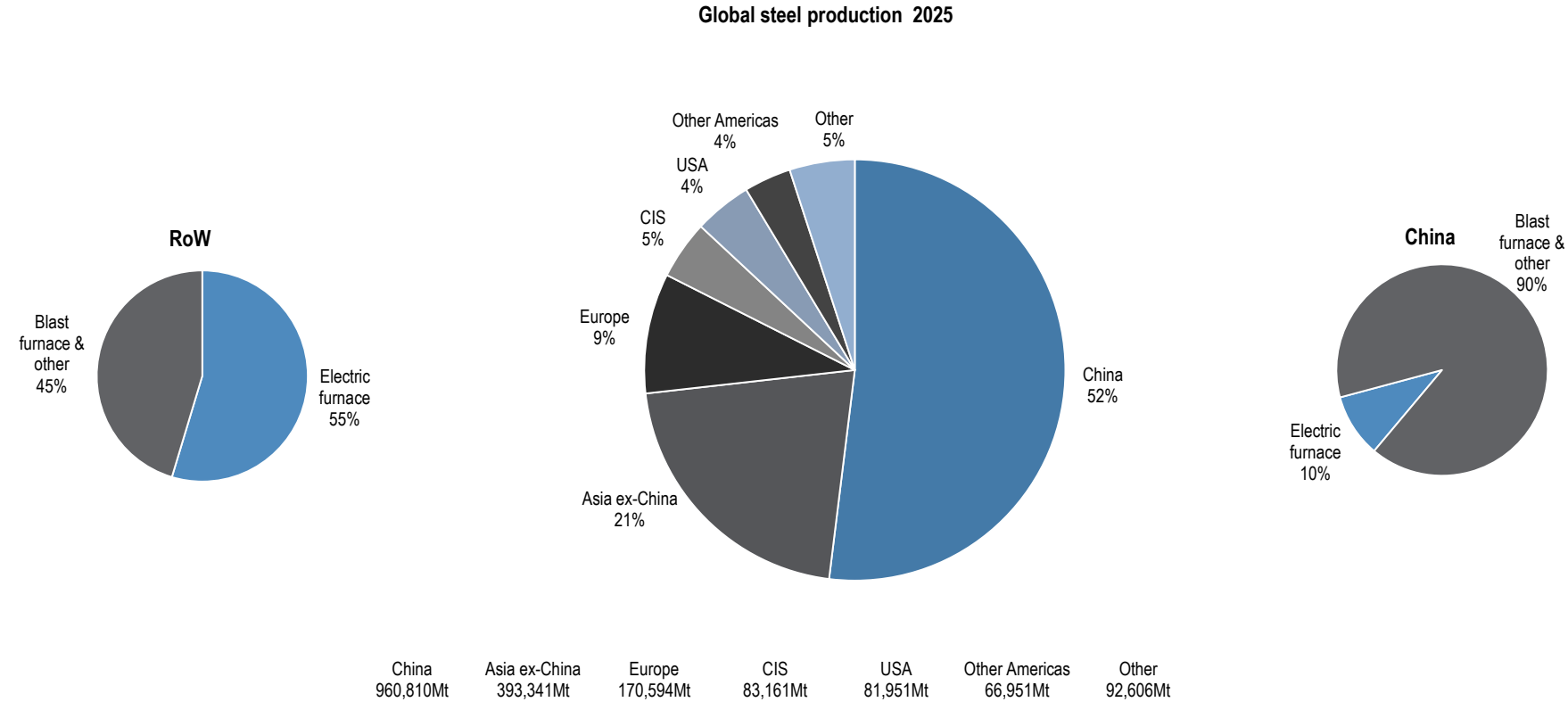
Figure 59: China steel production seasonality



Source: Bloomberg Finance L.P., J.P. Morgan calculations.

Global steel production by process

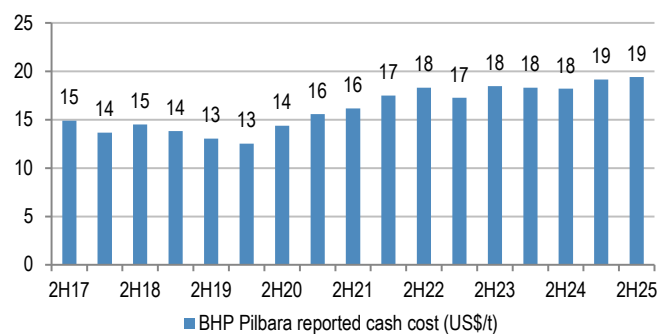
Figure 60: Global steel production (Mt) – 2025



Source: World Steel Association.

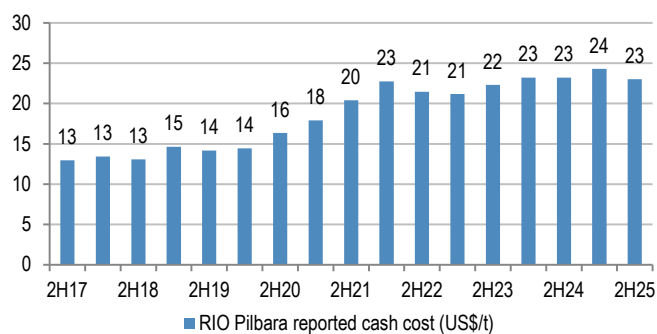
Costs for the majors

Figure 61: BHP costs (US\$/t) – CY periods



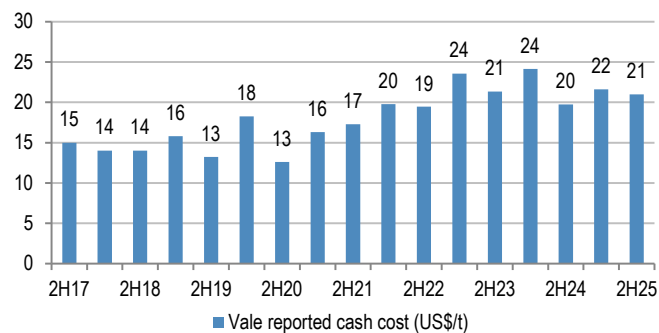
Source: Company data.

Figure 62: RIO costs (US\$/t) – CY periods



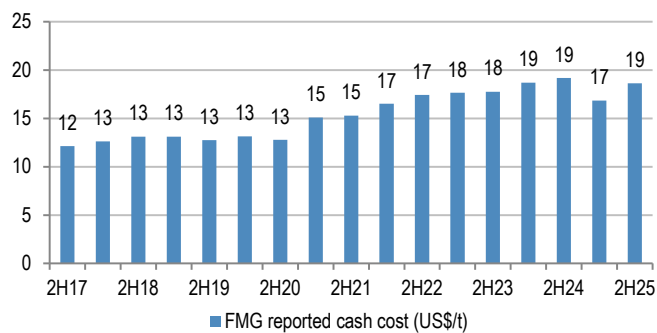
Source: Company data.

Figure 63: Vale C1 costs (US\$/t) – CY periods



Source: Company data.

Figure 64: FMG C1 costs (US\$/t) – CY periods



Source: Company data.

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